



**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Consolidated Financial Statements and
Schedules of Expenditures of Federal and State of New Jersey Awards

September 30, 2023

(With Independent Auditors' Reports Thereon)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

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Independent Auditors' Report

The Board of Directors
Community Loan Fund of New Jersey, Inc. and Subsidiaries:

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Community Loan Fund of New Jersey, Inc. and Subsidiaries (the Organization), which comprise the consolidated statements of financial position as of September 30, 2023 and 2022, and the related consolidated statements of activities and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Organization as of September 30, 2023 and 2022, and the changes in their net assets and their cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

As discussed in Note 2(t) to the consolidated financial statements, the Organization adopted Accounting Standards Update No. 2016-02, *Leases (Topic 842)*, during the year ended September 30, 2023. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.



Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated January 26, 2024 on our consideration of the Organization's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Organization's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Organization's internal control over financial reporting and compliance.

KPMG LLP

Short Hills, New Jersey
January 26, 2024

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Consolidated Statements of Financial Position

September 30, 2023 and 2022

Assets	2023	2022
Current assets:		
Cash and cash equivalents (notes 2(l) and 17)	\$ 35,615,381	52,499,393
Investments (note 7)	270,741	14,302,650
Grants receivable, net	5,215,243	6,630,285
Loans receivable, net of allowance for uncollectible loans of \$1,440,253 and \$1,193,098, respectively (notes 3, 4 and 17)	24,911,306	23,818,886
Other current assets	22,662,519	16,791,163
Total current assets	88,675,190	114,042,377
Loans receivable, net of current portion and allowance for uncollectible loans of \$5,960,951 and \$4,039,842, respectively (notes 3, 4 and 17)	101,606,487	77,831,270
Restricted cash (notes 2(l))	11,773,434	11,643,468
Investments (note 7)	12,320,092	13,138,932
Purchased credit impaired loans held for investment (note 5)	369,816	380,296
Real property held for sale (note 2(i))	13,764,306	20,942,047
Program-related investments (note 6)	21,276,866	16,479,253
Fixed assets, net (note 8)	53,744,541	56,729,133
Other assets	4,908,694	4,478,580
Operating right-of-use assets (note 15)	5,107,407	—
Total assets	\$ 313,546,833	315,665,356
Liabilities and Net Assets		
Current liabilities:		
Accounts payable and accrued expenses	\$ 6,280,904	3,034,188
Funds held in trust, escrows, and other (note 10)	11,587,456	9,365,983
Current portion of long-term debt (note 11)	38,477,225	35,458,903
Operating lease liabilities (note 15)	490,738	—
Total current liabilities	56,836,323	47,859,074
Long-term liabilities:		
Unearned fee income	1,223,630	1,077,758
Funds held in trust, escrows, and other, net of current portion (note 10)	3,518,273	6,928,896
Long-term debt, net of current portion (note 11)	168,155,358	176,439,349
Operating lease liabilities (note 15)	5,156,037	—
Total liabilities	234,889,621	232,305,077
Commitments and contingencies (note 16)		
Net assets:		
Net assets without donor restrictions:		
Community Loan Fund and Subsidiaries	33,854,031	35,212,421
Noncontrolling interest in Subsidiaries	7,109,260	9,016,256
Total net assets without donor restrictions	40,963,291	44,228,677
Net assets with donor restrictions (note 12)	37,693,921	39,131,602
Total net assets	78,657,212	83,360,279
Total liabilities and net assets	\$ 313,546,833	315,665,356

See accompanying notes to consolidated financial statements.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Consolidated Statement of Activities

Year ended September 30, 2023

	<u>Without donor restrictions</u>	<u>With donor restrictions</u>	<u>Total</u>
Operating revenues, gains, and other support:			
Interest from loans receivable	\$ 6,948,117	—	6,948,117
Investment interest and dividends	556,215	298,453	854,668
Total investment income	7,504,332	298,453	7,802,785
Interest expense (note 14)	(4,662,288)	—	(4,662,288)
Net investment income	2,842,044	298,453	3,140,497
Provision for uncollectible loans receivable, net (notes 4 and 14)	(2,782,525)	—	(2,782,525)
Net investment income after provision for loan losses	59,519	298,453	357,972
Contributions, gifts, and grants (note 9)	3,462,977	9,852,358	13,315,335
Fees	4,110,566	—	4,110,566
Rental income	4,668,590	—	4,668,590
Loss on sale of property and mortgages	(309,130)	—	(309,130)
Net assets released from restrictions	11,179,447	(11,179,447)	—
Total operating revenues, gains, and other support	23,171,969	(1,028,636)	22,143,333
Operating expenses (note 14):			
Program services	22,572,081	—	22,572,081
Supporting services:			
Management and general	1,762,713	—	1,762,713
Fundraising	915,580	—	915,580
Total supporting services	2,678,293	—	2,678,293
Total operating expenses	25,250,374	—	25,250,374
Changes in net assets before nonoperating activity	(2,078,405)	(1,028,636)	(3,107,041)
Nonoperating activity:			
Impairment loss on other assets and real property held for sale	(782,763)	—	(782,763)
Distributions to noncontrolling interest in Subsidiaries	(1,743,717)	—	(1,743,717)
Realized gain (loss) on investments	2,038,060	(247,948)	1,790,112
Unrealized loss on investments	(698,561)	(161,097)	(859,658)
Total nonoperating activity	(1,186,981)	(409,045)	(1,596,026)
Decrease in net assets	(3,265,386)	(1,437,681)	(4,703,067)
Net assets, beginning of year	44,228,677	39,131,602	83,360,279
Net assets, end of year	\$ 40,963,291	37,693,921	78,657,212

See accompanying notes to consolidated financial statements.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Consolidated Statement of Activities

Year ended September 30, 2022

	<u>Without donor restrictions</u>	<u>With donor restrictions</u>	<u>Total</u>
Operating revenues, gains, and other support:			
Interest from loans receivable	\$ 6,210,492	—	6,210,492
Investment interest and dividends	365,372	300,180	665,552
Total investment income	6,575,864	300,180	6,876,044
Interest expense (note 14)	(3,841,469)	—	(3,841,469)
Net investment income	2,734,395	300,180	3,034,575
Provision for uncollectible loans receivable, net (notes 4 and 14)	(192,970)	—	(192,970)
Net investment income after provision for loan losses	2,541,425	300,180	2,841,605
Contributions, gifts, and grants (note 9)	3,239,432	7,165,850	10,405,282
Fees	3,594,013	—	3,594,013
Rental income	4,750,585	—	4,750,585
Gain on sale of property and mortgages	3,754,496	—	3,754,496
Net assets released from restrictions	6,873,831	(6,873,831)	—
Total operating revenues, gains, and other support	24,753,782	592,199	25,345,981
Operating expenses (note 14):			
Program services	18,551,434	—	18,551,434
Supporting services:			
Management and general	1,950,018	—	1,950,018
Fundraising	1,232,302	—	1,232,302
Total supporting services	3,182,320	—	3,182,320
Total operating expenses	21,733,754	—	21,733,754
Changes in net assets before nonoperating activity	3,020,028	592,199	3,612,227
Nonoperating activity:			
Impairment loss on other assets and real property held for sale	(263,472)	—	(263,472)
Contributions from noncontrolling interest in Subsidiaries	238,262	—	238,262
Realized gain (loss) on investments	658,475	(12,063)	646,412
Unrealized loss on investments	(3,866,889)	(970,472)	(4,837,361)
Total nonoperating activity	(3,233,624)	(982,535)	(4,216,159)
Decrease in net assets	(213,596)	(390,336)	(603,932)
Net assets, beginning of year	44,442,273	39,521,938	83,964,211
Net assets, end of year	\$ 44,228,677	39,131,602	83,360,279

See accompanying notes to consolidated financial statements.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Consolidated Statements of Cash Flows

Years ended September 30, 2023 and 2022

	<u>2023</u>	<u>2022</u>
Cash flows from operating activities:		
Decrease in net assets	\$ (4,703,067)	(603,932)
Adjustment to reconcile decrease in net assets to net cash provided by (used in) operating activities:		
Distributions to (contributions from) noncontrolling interests	1,743,717	(238,262)
Realized gain on program-related investments	(213,218)	(549,683)
Realized gain on investments	(1,576,606)	(96,729)
Unrealized loss on investments	859,658	4,837,361
Distribution from equity investees	1,615,791	2,112,027
Equity in net gain of investees	(287)	(327)
Provision for uncollectible loans receivable, net	2,782,525	192,970
Loss on sale of real property held for sale	1,708,159	—
Gain on sale of fixed assets	(1,394,543)	(3,737,767)
Impairment loss on real property held for sale	224,242	263,472
Impairment loss on other assets	558,521	—
Reduction in the carrying value of the right-of-use assets	472,705	—
Depreciation and amortization	1,743,231	1,371,089
Changes in operating assets and liabilities:		
Grants receivable	1,415,042	2,835,492
Other current assets and other assets	(6,946,081)	(6,655,180)
Accounts payable and accrued expenses	3,246,716	(557,790)
Unearned fee income	145,872	227,391
Operating lease liabilities	(54,632)	—
Funds held in trust, escrows, and other	(1,189,150)	(2,170,990)
Net cash provided by (used in) operating activities	<u>438,595</u>	<u>(2,770,858)</u>
Cash flows from investing activities:		
Repayment of loans receivable	21,564,927	45,480,225
Issuance of loans receivable	(49,215,089)	(38,025,458)
Proceeds from sale of investments	38,097,983	14,786,827
Purchases of investments	(22,535,890)	(14,529,708)
Repayment of purchased credit impaired loans held for investment	10,480	4,617
Purchases of program-related investments	(6,199,899)	(1,859,714)
Proceeds from sale of real property held for sale	12,979,744	14,195,918
Purchases of real property held for sale	(7,395,343)	(9,419,212)
Proceeds from sale of fixed assets	4,839,251	4,609,568
Purchases of fixed assets	(2,329,419)	(825,812)
Net cash (used in) provided by investing activities	<u>(10,183,255)</u>	<u>14,417,251</u>
Cash flows from financing activities:		
(Distributions to) contributions from noncontrolling interests	(1,743,717)	238,262
Payments of long-term debt	(28,709,537)	(25,945,505)
Proceeds from issuance of long-term debt	23,443,868	31,859,646
Net cash (used in) provided by financing activities	<u>(7,009,386)</u>	<u>6,152,403</u>
Net (decrease) increase in cash, cash equivalents and restricted cash	<u>(16,754,046)</u>	<u>17,798,796</u>
Cash, cash equivalents and restricted cash:		
Beginning of year	64,142,861	46,344,065
End of year	<u>\$ 47,388,815</u>	<u>64,142,861</u>
Supplemental disclosure of cash flow information:		
Cash paid for interest	\$ 6,892,445	6,700,046
Right-of-use assets upon ASC 842 implementation - operating leases	5,580,112	—
Supplemental disclosure of noncash investing activity:		
Transfers of real property held for sale (from) to real property held for rental in fixed assets	\$ (287,469)	1,882,656
Reconciliation of total cash, cash equivalents and restricted cash reported within the consolidated statements of financial position that sum to the total of the same such amounts shown above:		
Cash and cash equivalents	\$ 35,615,381	52,499,393
Restricted cash	<u>11,773,434</u>	<u>11,643,468</u>
Total cash, cash equivalents and restricted cash shown above	<u>\$ 47,388,815</u>	<u>64,142,861</u>

See accompanying notes to consolidated financial statements.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Notes to Consolidated Financial Statements

September 30, 2023 and 2022

(1) Organization

New Jersey Community Capital is the registered trade name utilized by Community Loan Fund of New Jersey, Inc. and its subsidiaries (the Organization) for its financial products, consulting services, and affordable housing preservation and development services.

- *Community Loan Fund of New Jersey, Inc.*

Community Loan Fund of New Jersey, Inc. (CLFNJ) was formed for the purpose of providing capital and technical assistance in order to build the economic self-sufficiency of low-income individuals and communities.

CLFNJ is the sole member of Community Asset Preservation Corporation (CAPC), Community Lending Partners of New Jersey, Inc. (Lending Partners), NJCC 151 MLK Boulevard LLC (151 MLK), NCC Holdings, LLC (NCCH), NJCC LMI Mortgage Platform LLC (LMI), NJCC Mortgage Holdings LLC (Mortgage Holdings), National Community Capital III, LLC (NCC III), 545 West Broad Street LLC (545 West Broad) and NJCC Supportive Housing Fund, LLC (Supportive Housing). CAPC is the sole member of Community Asset Preservation Alliance of Jersey City 3, LLC (CAPAJC 3), CAPC Affordable Rental Fund LLC (CAPC-ARF), CAPC Washington Street Urban Renewal, LLC (CAPC Washington), CAPC Property Management, LLC (Property Management), CAPC Construction LLC (CAPC Construction), CAPC Brokerage LLC (Brokerage), CAPC 4th Ave. Urban Renewal LLC (CAPC 4th Ave), CAPC E-Port Revitalization 1, LLC (E-Port 1), CAPC E-Port Revitalization 2, LLC (E-Port 2), CAPC USA Fund II Invest LLC (Fund II Invest), South Ward Neighborhood Housing Urban Renewal LLC (Southward Neighborhood) and CAPC Southward, LLC (Southward). Additionally, CLFNJ owns the majority of the voting shares of University Ventures, Inc. (University Ventures). These entities are included in the Organization's consolidated financial statements.

In 2021, the Equitable Small Business Initiative LLC (ESBI) was formed to bring capital to small business enterprises in New Jersey, focusing on support for Black-owned businesses most affected by the Covid-19 pandemic. CLFNJ has 50.00% ownership in ESBI and control of the entity, therefore the entity is included in the Organization's consolidated financial statements.

In 2022, the Community Aggregators Group (CAG) Members Fund 1 LLC CAG was formed to provide capital to indirectly purchase interest in the CAG National Fund Membership. CLFNJ's interest is 16.81% and is accounted for using the equity method.

In 2016, CLFNJ had a 25.90% interest in NJCC Fund 1, LLC (Fund #1). CLFNJ was the managing member of Fund #1 and since the other members had substantive rights, the equity method of accounting was used in 2017 and 2018. During 2018, CAPC acquired the remaining ownership interest of Fund #1 and has 100.00% ownership, and it is included in the Organization's consolidated financial statements. In 2020 and 2021, Fund #1 fully repaid CLFNJ of its equity investment.

CLFNJ has a minority interest in Community Development Fund I (CDF I), Community Development Fund II (CDF II) and Community Development Fund III (CDF III). As of September 2023 and 2022,

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
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Notes to Consolidated Financial Statements

September 30, 2023 and 2022

CDF I, CDF II and CDF III hold 5 mortgage pools consisting of 13 mortgages located in Florida and New Jersey.

CAPC has a 50.00% ownership interest in CHS-CAPC JV1, LLC (CHS-CAPC). CAPC is not the managing partner and has no control of CHS-CAPC. This entity is accounted for using the equity method.

In 2018, CAPC has a 40.00% ownership interest in 306 MLK Blvd Urban Renewal Company, LLC (306 MLK) and was accounted for using the equity method. In December 2019, CAPC's interest in 306 MLK increased to 60.00% and is now included in the Organization's consolidated financial statements.

In 2021, CAPC Affordable Rental Fund III LLC (CAPC-ARF III) was formed to hold and operate CAPC rental properties. CAPC has a 100.00% ownership interest in CAPC-ARF III, and the entity is included in the Organization's consolidated financial statements.

In 2021, New Jersey Community Development Corporation-CAPC Housing LLC (NJCDC) was set up as a sponsor and developer of the Barclay Street LIHTC project. CAPC has a 50.00% ownership interest in the project. CAPC is not the managing partner of NJCDC, and this entity is accounted for using the equity method.

In 2021, NJCC NYS Community Restoration Fund II, LLC (NYS CRF II) was formed to own, service, and liquidate nonperforming mortgage notes. CLFNJ has a 48.63% ownership interest in NYS CRF II which is accounted for using the equity method.

In 2021, NJCC NJS Community Restoration Fund II, LLC (NJS CRF II) was formed to own, service, and liquidate nonperforming mortgage notes. CLFNJ has a 99.00% ownership interest in NJS CRF II which had no activity in either 2023 or 2022.

In 2021, Remsen Ave Development, LLC (Remsen) was formed to build a 13 unit affordable apartment building in New Brunswick, N.J. CAPC has a 100.00% ownership interest in Remsen and the entity is included in the Organization's consolidated financial statements.

In 2021, CAPC USA Fund I LLC (USA Fund 1) was created to make investments into the purchase and renovation of scattered site properties. CAPC has a 45.00% ownership interest in USA Fund I, managing and controlling the entity, therefore the entity is included in the Organization's consolidated financial statements.

In 2021, CAPC USA Fund II LLC (USA Fund II) was created to make investments into the purchase and renovation of scattered site properties. CAPC has a 100.00% ownership interest in USA Fund II and the entity is included in the Organization's consolidated financial statements.

In 2021, NJCC ET Library Project, LLC (ET Library) was created to make improvements to the East Trenton Library. CLFNJ was a 100.00% ownership interest in the ET Library and the entity is included in the Organization's consolidated financial statements.

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**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
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Notes to Consolidated Financial Statements

September 30, 2023 and 2022

In 2021, CAPC USA Pledgor, LLC (Pledgor) was formed to pledge equity for USA Fund 1. CAPC has a 100.00% interest in Pledgor, and the entity is included in the Organization's consolidated financial statements.

In 2021, CAPC USA Pledgor II LLC (Pledgor II) was formed to pledge equity for USA Fund II. USA Fund II has a 100.00% ownership interest in Pledgor II and the entity is included in the Organization's consolidated financial statements.

In 2020, Valley Revitalization LLC (Valley) was created to purchase and improve properties to revitalize the Valley Neighborhood in Orange, New Jersey and West Orange, New Jersey. CAPC has a 50.00% ownership interest in Valley. CAPC is not the managing partner in the project and no control of Valley. This entity is accounted for using the equity method.

In 2020, CAPC Affordable Rental Fund II LLC (CAPC-ARF II) was formed to hold and operate CAPC rental properties. CAPC has a 100.00% ownership interest in CAPC-ARF II and the entity is included in the Organization's consolidated financial statements.

CAPC SFR Home Impact Fund LLC (CAPC SFR) was created to purchase vacant urban lots and construct affordable homeownership units on the lots. In 2020, CAPC has a 100.00% ownership interest in CAPC SFR. In September 2021, Ellavoz Neighborhood Homes Fund LLC acquired 40.00% of CAPC SFR. CAPC now has a 60.00% ownership interest in CAPC SFR and this entity is included in the Organization's consolidated financial statements.

In December 2019, NJCC Shared Value LLC (Shared) was formed to facilitate opportunity zone investments. It is 100.00% owned by CLFNJ and is a 50.00% member in Allevo Community Capital (Allevo). Allevo was formed in August 2019.

In October 2019, Mills Memorial Social Services Building, Inc. (Mills), a New Jersey Title 15A nonprofit corporation, was formed to purchase property located at 60 South Fullerton, Montclair, NJ from the United Way. CAPC has a 100.00% ownership interest in Mills and this entity is included in the Organization's consolidated financial statements.

In October 2019, 60 South Fullerton, LLC (60 South) entered an operating agreement with UW Member LLC (United Way) to create the entity UWNNJ Montclair, LLC (UWNNJ). Also, it is the managing member of UWNNJ. CAPC has a 100.00% ownership interest in 60 South and this entity is included in the Organization's consolidated financial statements.

In October 2019, UWNNJ was formed for the purpose of being the master leaseholder responsible for managing, rehabbing, and securing financing for the property located at 60 South Fullerton, Montclair, NJ. 60 South and UW Member LLC have a 95.00% and 5.00% ownership interest in UWNNJ, respectively, and the entity is included in the Organization's consolidated financial statements.

In 2019, WPB Arts Housing LLC (WPB) was formed for the development, construction, and operation of a 52 unit affordable housing apartment building in West Palm Beach, Florida. CAPC has an 80.00% ownership interest in WPB. The 52 units were sold in 2023.

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
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Notes to Consolidated Financial Statements

September 30, 2023 and 2022

In 2019, CAPC Supportive Needs Housing, Inc. (Supportive Needs) was formed for the purpose of providing housing within Union County NJ to persons who are low and moderate income or homeless or victims of domestic violence or financially distressed or special needs. CAPC has a 100.00% ownership interest and the entity is included in the Organization's consolidated financial statements.

In 2019, CAPC USA, LLC (CAPC USA) was formed to acquire, rehabilitate and sell distressed and foreclosed homes from NJCC's nonperforming loan funds. CAPC has a 100.00% ownership interest in CAPC USA and the entity is included in the Organization's consolidated financial statements.

In 2018, CAPC AMG, LLC (CAPC AMG) was formed to enter into an investment and asset management agreement with CAPC USA. CAPC has a 100.00% ownership interest in CAPC AMG, and this entity is included in the Organization's consolidated financial statements.

In 2018, CAPC acquired 100.00% interest in National Community Capital Fund Tampa #1, LLC (Tampa #1). In prior years, CAPC was the managing member but had no ownership interest. This entity is included in the Organization's consolidated financial statements. There was no activity in 2023.

In 2017, CAPC had a 100.00% ownership interest in CAPC NJ Asset Stabilization Fund #1 LLC (CAPC ASF #1). During 2018, Synchrony Bank acquired a 19.97% ownership interest in CAPC ASF #1. This entity is included in the Organization's consolidated financial statements.

In 2018, CAPC Asset Stabilization Fund 2 LLC (CAPC ASF #2) was created. CAPC has a 52.89% ownership interest, CLFNJ has a 27.17% interest and Synchrony Bank has a 19.94% ownership interest. This entity is included in the Organization's consolidated financial statements.

In 2018, CAPC invested, along with three other Housing Partnership Network, Inc. members, in a partnership called HPN Leverage IV, LLC to take advantage of New Market Tax Credit (NMTC) financing. NMTC financing allows an entity to receive a loan or investment capital from outside investors who will receive new market tax credits to be applied against their federal tax liability. As a result, CAPC invested \$8,222,118 to acquire a 40.00% ownership interest in the partnership and was able to secure a 20-year loan in the amount of \$11,700,000 payable to a community development entity. The loan proceeds are to be used for the purpose of acquiring, rehabilitating or constructing homes in distressed communities in New Jersey and Florida. Since the other members have substantive rights, these entities are accounted for using the equity method.

In November 2018, Parramore Assets Stabilization Fund, LLC was formed for the purpose to acquire, stabilize, rehabilitate, lease and sell 45 distressed rental properties consisting of 86 units in the Parramore section of Orlando Florida. NJCC is the managing member and the tax matters partner. CLFNJ has a 33.33% ownership interest and will serve as the investment and asset manager in the joint venture with two (2) other nonprofit entities. The Organization accounts for this entity using the equity method.

In 2018, CLFNJ formed NJCC Fund #5, LLC (Fund #5) with PRP to purchase residential mortgage loans in 10 states. CLFNJ and PRP have a 1.98% and 98.02% ownership interest, respectively, in

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Fund #5. At the same time Community Aggregator Asset Management Group, LLC was formed in an initiative with three (3) other entities to manage the assets of the loan pool. CLFNJ and NCC III each have a 25.00% ownership interest in this entity. Since the other members have substantive rights, accordingly, these entities are accounted for using the equity method.

In 2017, CLFNJ formed NJCC MM Invest LLC (NJCC MM) in an initiative with PRP Holdings LP (PRP) to join in a venture with the State of New York's Department of Homes and Community Development (SONYMA Community Restoration Fund) to purchase residential mortgage loans in New York State (NYS). CLFNJ has a 5.00% ownership interest in NJCC MM. NJCC MM has a 56.73% investment in NJCC-NYS Community Restoration Fund, LLC (NJCC-NYS CRF) and a 6.19% investment in NJCC-NYS Erie County Community Restoration Fund, LLC (Erie CRF). Also in 2017, CLFNJ formed NJCC Fund #4, LLC (Fund #4) with PRP to purchase residential mortgage loans in New Jersey. CLFNJ has a 10.00% ownership interest in Fund #4. Since the other members have substantive rights, accordingly, these entities are accounted for using the equity method.

In 2016, LMI invested \$2,000,000 to purchase 10.00% of the outstanding shares in CUMAnet, LLC (CUMAnet) from Affinity Credit Union. The purpose of this investment was to support the provision of affordable mortgages to low- and moderate-income families in New Jersey. CUMAnet was accounted for using the cost method. In 2023, LMI sold its investment in CUMAnet at a loss of approximately \$600,000.

In 2023, 151 MLK acquired 99.00% interest in 306 MLK Master Tenant LLC (306 MLK Master). This entity is included in the Organization's consolidated financial statements.

CLFNJ has formed the following special purpose entities (SPEs): NJCC CDE Ocean LLC, NJCC CDE Camden LLC, NJCC CDE Passaic LLC, NJCC CDE Cumberland LLC, NJCC CDE Monmouth LLC, NJCC CDE Middlesex LLC, NJCC CDE Campbell LLC and NJCC CDE Wilson LLC, (collectively as NMTC IV); NJCC CDE Edison LLC, NJCC CDE Hamilton LLC, NJCC CDE Kilmer LLC, NJCC CDE Livingston LLC, NJCC CDE Morris LLC and NJCC CDE Eagleton LLC, (collectively as NMTC V); NJCC CDE Barton LLC, NJCC CDE Stockton LLC, NJCC CDE Parker LLC, NJCC CDE Amos LLC, NJCC CDE Robeson LLC and NJCC CDE Whitman LLC, (collectively as NMTC VI); NJCC CDE Houston LLC, NJCC CDE Field LLC, NJCC CDE Peterson LLC, NJCC CDE Salem LLC, and NJCC CDE Grimesfarm LLC (collectively as NMTC VII) and NJCC CDE 42 LLC and NJCC CDE 44 LLC (collectively as NMTC IX). CLFNJ serves as the managing member of each of the SPEs. The limited partners in the SPEs have substantive participating rights, and accordingly, the SPEs are accounted for using the equity method.

NJCC CDE 43 LLC, NJCC CDE 45 LLC, NJCC CDE 46 LLC were formed in 2022 and NJCC CDE 47 LLC, NJCC CDE 48 LLC, NJCC CDE 49 LLC, NJCC CDE 50, and NJCC CDE 51 LLC were formed in 2023. These entities have yet to be assigned an NMTC allocation.

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Operating Divisions

CLFNJ has aligned its operations into several operating divisions: Community Loan Fund, Proprietary Managed Assets, Third Party Managed Assets, NMTC IV, V, VI VII, VIII and IX, University Ventures, CAPC, and Restart and Restart the Shore. A discussion of each follows:

Community Loan Fund

Community Loan Fund provides financing and technical assistance to three primary sectors: housing, community services, and businesses. To maximize its impact, Community Loan Fund provides flexible and creative financing through a broad spectrum of credit offerings to customers who either lack access to capital or cannot afford the cost of capital from conventional sources.

Proprietary Managed Assets

Proprietary Managed Assets include loan pools developed by CLFNJ and targeted to specialized sectors as follows:

(a) *Neighborhood Prosperity Fund*

The purpose of the Neighborhood Prosperity Fund (NPF) is to provide a permanent, flexible source of lending capital for high-impact neighborhood stabilization projects in areas of economic distress. As a revolving loan fund, the capital will be recycled for developers of such projects to continually acquire, renovate, and place troubled properties back on the market.

(b) *Charter Fund*

The purpose of the Charter Fund is to credit enhance loans, leases, and investments made on behalf of charter schools for their facility needs.

(c) *ReBuild Fund*

In 2013, the Organization formed the ReBuild Fund to provide quick access to low-interest capital to small businesses in New Jersey that were impacted by Hurricane Sandy.

(d) *Camden POWER (Camden Fund)*

The Camden Power pool was developed to provide lending capital to eligible business establishments in Camden for the purpose of energy efficiency and health and life safety improvements. CLFNJ received grants and advances from the City of Camden and the NJEDA to fund this pool.

Third Party Managed Assets

Third Party Managed Assets include loan pools administered by CLFNJ.

(a) *Sustainable Employment and Economic Development Loan Program (SEED Fund)*

During 2000, CLFNJ successfully submitted a proposal to manage a pre-development loan pool for community economic development projects sponsored by nonprofit organizations and community

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development corporations. The program is managed on behalf of the Housing and Community Development Network of New Jersey, a trade association serving the community development corporation sector. CLFNJ services and administers the program on behalf of the Housing and Community Development Network of New Jersey.

(b) Asbury Park Urban Enterprise Zone Revolving Loan Fund

In 2003, the City of Asbury Park's Urban Enterprise Zone (UEZ) announced a revolving microloan program with certain services provided by CLFNJ. The program is established to provide low-interest-rate financial assistance of up to \$25,000 to new and established companies in Asbury Park. The UEZ entered into a contractual relationship whereby CLFNJ services and administers the program on behalf of the UEZ.

(c) Bank of America Fund (BofA Fund)

In 2005, Bank of America capitalized a pre-development loan fund for housing and real estate initiatives. The program is established to provide low-interest-rate financial assistance to nonprofit and for-profit developers looking to create and preserve affordable housing and develop real estate in low – to moderate-income communities. CLFNJ services and administers the program on behalf of Bank of America.

(d) Thrift Institutions Community Investment Corporation of New Jersey (TICIC) Portfolio

In 2013, CLFNJ purchased the rights to service a multiple participant loan portfolio originated and previously serviced by TICIC, an affiliate of the NJ Bankers Association.

(e) Gap Funding Initiative (GFI)

The GFI was launched in 2013. It was a \$15,000,000 grant program funded by the Hurricane Sandy New Jersey Relief Fund and the American Red Cross and administered by New Jersey Community Capital. GFI offered up to \$30,000 (reduced to \$20,000 in August 2014) to help eligible homeowners cover costs of home repairs they face as a result of Hurricane Sandy. During 2019, CLFNJ disbursed \$130,000 to eligible recipients. No funds were disbursed to recipients in 2023 or 2022.

NMTC

The Organization, through SPEs for which CLFNJ is the managing member, provides investment capital and technical assistance to companies spurring revitalization efforts in New Jersey's low-income communities historically lacking access to traditional sources of capital.

As a not-for-profit organization exempt from federal income tax under Section 501(c)(3) of the Internal Revenue Code (the Code), and therefore, without tax liability, CLFNJ cannot itself use New Market Tax Credits (NMTCs). In order to utilize the allocation received by CLFNJ, the Organization suballocates NMTC investment authority to various Limited Liability Companies (LLCs) organized and managed by CLFNJ. These LLCs are Community Development Entities (CDEs). The Organization seeks to

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suballocate NMTC investment authority to CDEs that provide investments in projects that accomplish goals consistent with the mission of the Organization.

NMTC III

In 2013, CLFNJ received a \$30,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the tenth round of a national economic development initiative. With the dissolution of NJCC CDE Bergen LLC and NJCC CDE Hudson LLC, all investors and SPEs exited NMTC III as of September 2022.

NMTC IV

In 2015, CLFNJ received a \$50,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the twelfth round of a national economic development initiative.

NMTC V

In 2017, CLFNJ received a \$45,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the thirteenth round of a national economic development initiative.

NMTC VI

In 2018, CLFNJ received a \$40,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the fourteenth round of a national economic development initiative.

NMTC VII

In 2019, CLFNJ received a \$35,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the fifteenth round of a national economic development initiative.

NMTC VIII

In 2021, CLFNJ received a \$50,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the seventeenth round of a national economic development initiative.

NMTC IX

In 2023, CLFNJ received a \$40,000,000 allocation of NMTCs from the United States Department of Treasury's Community Development Financial Institutions in the eighteenth round of a national economic development initiative.

University Ventures

In 2004, CLFNJ acquired a majority interest in the nonvoting common stock (Class A) and a controlling interest in the voting common stock (Class B) of University Ventures, a specialized small businesses

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investment company licensed by the United States Small Business Administration. Since then, CLFNJ has increased their interests through acquisition and donation of shares. As of September 30, 2023, CLFNJ owns 99.32% of Class A stock and 94.67% of Class B stock.

University Ventures provides capital and managerial assistance to small business, specifically targeting the needs of entrepreneurs who have been denied the opportunity to own and operate a business because of social or economic disadvantage.

CAPC

In May 2010, CLFNJ became the sole member of CAPC.

CAPC was created to negotiate bulk purchases of mortgage notes, real estate owned (REO), and other properties from financial institutions and convey the properties in smaller numbers to partnering nonprofit organizations, private institutions, local government agencies, and other partners able to rehabilitate and return the property to productive use.

In 2014, CAPC began to rent renovated homes to low and moderate-income families. CAPC makes exit (rent vs. sell) decisions based on neighborhood real estate activity, surrounding blight, community stability, and local economic factors. At September 30, 2023 and 2022, CAPC had 213 and 228 properties, respectively, in rental status which are included in fixed assets with a net book value (including land) of \$51,334,014 and \$55,564,108, respectively.

ReStart and ReStart the Shore

In 2013, the Organization established its ReStart family of programs as an innovative home preservation initiative designed to prevent foreclosures and stabilize communities. The Organization won the right to purchase three pools of delinquent Federal Housing Administration (FHA) loans from the U.S. Department of Housing and Urban Development (HUD). NCCH acquired 15 mortgages of properties located in the greater Newark, New Jersey area.

In 2017, CLFNJ acquired a minority interest in 3 mortgage pools. NJCC-NYS CRF acquired 370 mortgages, Erie CRF acquired 28 mortgages and Fund #4 acquired 55 mortgages.

In 2018, CLFNJ acquired a minority interest in 1 mortgage pool. Fund #5 acquired 601 mortgages.

In 2021, CLFNJ acquired minority interest in 1 mortgage pool. NJCC NYS CRF II acquired 70 mortgages.

In 2022, CLFNJ acquired minority interest in 1 mortgage pool. CAG Members Fund I LLC acquired 169 mortgages.

NCC II provides investment management services to NCCH. NCC II was dissolved in 2020. In NCC III provides investment management services to NJCC-NYS CRF, Erie CRF, Fund #4, Fund #5 and NJCC NYS CRF II. The Organization was also engaged as a loss mitigation advisor by other purchasers of FHA loan pools.

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(2) Summary of Significant Accounting Policies

The significant accounting policies followed by the Organization are described below:

(a) Accrual Basis

The accompanying consolidated financial statements have been prepared on the accrual basis of accounting.

(b) Basis of Presentation

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor-imposed restrictions. The net assets of the Organization and changes therein are classified and reported as follows:

Net assets without donor restrictions – Net assets that are not subject to donor-imposed stipulations and net assets attributable to CLFNJ's controlling interest and noncontrolling interest in subsidiaries. In 2023, the noncontrolling interest in subsidiaries decreased by \$1,906,996, which represents the net distributions of \$1,743,717 to noncontrolling interest in subsidiaries and CLFNJ's share of the net loss (expenses over revenues) of \$163,279. In 2022, the noncontrolling interest in subsidiaries increased by \$732,804 which represents the net contributions of \$238,262 to noncontrolling interest in subsidiaries and \$494,542 share of the net gain.

Net assets with donor restrictions – Either net assets subject to donor-imposed stipulations that will be met by actions of the Organization and/or the passage of time or net assets subject to donor-imposed stipulations that they be maintained permanently by the Organization. All resources granted to the NeighborWorks America Revolving Loan for housing and capital projects must be maintained permanently, unless specific approval is granted by NeighborWorks America to release a portion of the grants.

(c) Principles of Consolidation

The consolidated financial statements include the accounts of CLFNJ and its wholly-owned and majority-owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation.

(d) Cash and Cash Equivalents

Cash equivalents include short-term investments with original maturities of three (3) months or less and include money market funds that are not maintained by the investment managers.

(e) Investments

The Organization records its investments in marketable securities at fair value based on quoted prices. Program-related investments are accounted for using the cost or equity methods, as appropriate. Distributions received from program-related investments accounted for under the equity method are classified using the cumulative earnings approach. Distributions received are considered returns on investment and classified as cash inflows from operating activities.

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Investment securities are exposed to various risks, such as interest rate, market, and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in values of investment securities will occur in the near term and those changes could materially affect the amounts reported in the consolidated statements of financial position.

(f) *Loans Receivable and Allowance for Uncollectible Loans Receivable*

The Organization provides commercial and mortgage loans to entities that support the development, preservation, and operation of housing, community services, and businesses primarily in New Jersey. Loans receivables are stated at unpaid principal balances less an allowance for loan losses. Interest on loans is recognized over the term of the loan and is calculated using the interest method on principal amounts outstanding.

The accrual of interest on loans is discontinued when the loans are 90 days past due unless the credit is well secured and in the process of collection. Past due status is based on the contractual terms of the loan. In all cases, loans are placed on nonaccrual or are charged off at an earlier date if management believes, after considering economic conditions, business conditions, and collection efforts, that collection of principal or interest is considered doubtful.

All interest accrued, but not collected for loans that are placed on nonaccrual or charged off, is reserved and recorded as bad debt expense. Loans are returned to accrual status when all the principal and interest payments contractually due are brought current and future payments are reasonably assured.

The allowance for uncollectible loans receivable is established as losses are estimated to have occurred through a provision for loan losses charged to earnings. Loan losses are charged against the allowance when management believes the non-collectability of a loan balance is confirmed.

The allowance for uncollectible loans receivable is evaluated on a regular basis by management and is based upon management's periodic review of the collectability of the loans in light of historical experience, the nature and volume of the loan portfolio, adverse situations that may affect the borrower's ability to repay, estimated value of any underlying collateral, and prevailing economic conditions. This evaluation is inherently subjective as it requires estimates that are susceptible to significant revision as more information becomes available.

(g) *Troubled Debt Restructured (TDR) Loans*

TDR loans are those loans whose terms have been modified because of deterioration of the financial condition of the borrower. The concessions made by the Organization are principally reductions in interest rate or extensions of maturities. In cases where the loan is collateral dependent, the Organization measures impairment as the difference between the loan and the fair value of the collateral (less cost to sell the collateral) based upon recent appraisals. In general, the Organization obtains appraisals annually.

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(h) Purchased Credit Impaired (PCI) Loans

PCI loans are initially recorded at fair value based on the transaction price with no allowance for loan loss. Under Accounting Standards Codification Subtopic 310-30, *Accounting for Purchased Loans with Deteriorated Credit Quality*, the PCI loans are aggregated and accounted for as pools of loans based on common risk characteristics. The allowance for loan losses on PCI loans is measured at each financial reporting date based on future expected cash flows. This assessment and measurement is performed at the pool level and not at the individual loan level. Accordingly, decreases in expected cash flows resulting from further credit deterioration, on a pool basis, as of such measurement date compared to those originally estimated are recognized by recording a provision and allowance for credit losses on PCI loans. Subsequent increases in the expected cash flows of the loans in each pool would first reduce any allowance for loan losses on PCI loans; and any excess will be accreted prospectively as a yield adjustment. The analysis of expected cash flows for loan pools incorporates expected sale prices of foreclosed property less costs to sell, and estimated principal and interests on the loans prior to foreclosure. Actual cash flows could differ from those expected. The difference between the undiscounted cash flows expected at acquisition and the investment in the PCI loans (the carrying value), or the "accretable yield," is recognized as interest income over the life of the pool of loans.

(i) Real Property Held for Sale

The Organization acquires certain real properties either through purchase or foreclosure which it holds, improves and repairs, and then either sells or rents. Such properties are valued at the lower of cost or fair value as determined by appraisals, and are \$13,764,306 and \$20,942,047 at September 30, 2023 and 2022, respectively. Revenues related to the sale will be recognized when the entity satisfies the performance obligation of the sales contract by transferring the property to the buyer.

(j) Fixed Assets

Fixed assets are carried at cost less accumulated depreciation. Contributed assets are recorded at fair value at the date of the gift. Maintenance and minor repair costs are expensed as incurred. Building, improvements, furniture, and equipment are depreciated on a straight-line basis over their estimated useful lives.

Description	Estimated life
Computers and equipment	3 years
Buildings and improvements	40 years

(k) Other Assets

Other assets include rent receivables, management fee receivables, advances to NMTC entities, miscellaneous receivables and mortgages. Those assets that are expected to be realized within one (1) year are recorded in other current assets. All other items are recorded in other assets in the consolidated statements of financial position.

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(l) Funds Held in Trust, Escrows, and Other

Funds held in trust, escrows, and other are held in a high-credit quality financial institution. Funds held in trust, escrows, and other include escrow deposits. The cash related to these funds is included in restricted cash and amounts to approximately \$5,104,000 and \$5,452,000 at September 30, 2023 and 2022, respectively.

Funds held in trust also include third-party resources entrusted to the Organization's oversight, generally for its Third Party Managed Assets programs. The Organization does not record the loans receivable associated with these programs in its consolidated financial statements as its responsibility is limited to servicing and/or administering the loans. The cash related to these programs that will be returned within one (1) year is included in cash and cash equivalents and amounts to approximately \$841,000 and \$925,000 at September 30, 2023 and 2022, respectively. The cash related to these programs that will be returned in more than one (1) year is included in restricted cash and amounts to approximately \$3,605,000 and \$1,445,000 at September 30, 2023 and 2022, respectively.

There are four (4) programs that advance funds with conditions to the Organization. The cash related to these programs amounts to approximately \$1,197,000 and \$1,388,000 and is included in restricted cash at September 30, 2023 and 2022, respectively.

Approximately \$4,359,000 and \$5,970,000 of funds held in trust were used to renovate real property held for rental at September 30, 2023 and 2022, respectively. The revenue related to these programs will be recognized when the conditions are met, which is generally when the property is leased to a low- or moderate-income tenant for a specific time period.

(m) Unearned Fee Income

Commitment fees are recorded as unearned fee income when received. The deferred commitment fees are then amortized and recorded as commitment fee income based on the life of the loan. The current portion of unearned fee income is included in accounts payable and accrued expenses in the accompanying consolidated statements of financial position.

(n) Contributions, Gifts, and Grants

Contributions, gifts, and grants are reported in the accompanying consolidated financial statements at their estimated fair value at date of receipt or binding commitment. As referenced in 2(b), the Organization records contributions and grants as with donor restrictions or without donor restrictions, depending on the existence and/or nature of donor restrictions or conditions. A contribution is conditional if the agreement includes both a barrier that must be overcome for the recipient to be entitled to the assets transferred and a right of return for the transferred assets or a right of release of the promisor's obligation to the transferred assets. Conditional promises to give are not recognized until they become unconditional, that is, when the barriers on which they depend are met. However, if a restriction is fulfilled in the same time period in which the contribution or grant is received, the Organization reports the support as without donor restriction. Unconditional promises to give are recognized as revenues or gains in the period received. Unconditional promises to give due in the next year are reflected as current promises to give and are recorded at their net realizable value.

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Unconditional promises to give due in subsequent years are reflected as long-term promises to give and are recorded at the present value of their net realizable value, using risk-adjusted interest rates applicable to the years in which the promises are received to discount the amounts.

Contributions of donated noncash assets are recorded at their estimated fair values in the period received. Contributions of donated services that create or enhance nonfinancial assets or that require specialized skills, are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donation, are recorded at their fair value in the period received.

(o) Leases

The Organization classifies leases as either operating or financing depending on the terms and conditions set forth in the contract at the inception of the lease. In the consolidated statements of financial position, right-of-use assets represent the Organization's right to use the underlying assets for the lease term and lease liabilities represents the Organization's obligation to make lease payments arising from the leases. Right-of-use assets and lease liabilities are recognized based on the present value of the future minimum lease payments over the lease term at commencement date. Lease expense for minimum lease payments is recognized on a straight-line basis over the lease term. The discount rate is based on a risk-free rate using a period comparable to the lease term.

As discussed in note 2(t), the Organization adopted Accounting Standards Update (ASU) No. 2016-02, *Leases (Topic 842)* in 2023. The Organization elected the package of practical expedients permitted under the transition guidance within Accounting Standards Codification Topic 842, which allowed the Organization to carry forward its identification of contracts that are or contain leases, its historical classification of existing leases and its accounting for initial direct costs for existing leases. The Organization elected the short-term lease exception under ASU 2016-02 for all leases, and therefore, leases with an initial term of 12 months or less are not included in the consolidated statements of financial position.

(p) Income Taxes

CLFNJ, Lending Partners, Supportive Needs, Mills, UWNNJ and CAPC are exempt from federal income taxes under Section 501(c)(3) of the Code. As nonprofit entities, they are also exempt from New Jersey corporate income taxes.

University Ventures is a for-profit corporation with federal net operating loss carryovers of \$566,102 that may be offset against future taxable federal income. Given the history of losses for University Ventures, a full valuation allowance has been taken for federal and state deferred tax assets.

306 MLK, CAPC ASF #2, CAPC USA, ESBI, CHS-CAPC and LMI are LLCs treated as partnerships for tax purposes and, as such, the income or loss generated from the LLC is reported by the members on their respective returns.

NJCC MM, Fund #4 and Fund #5 are LLCs treated as corporations for tax purposes and, as such, the income or loss generated from the LLC is reported by the members on their respective returns.

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CAPAJC 3, CAPC-ARF, CAPC-ARF II, CAPC-ARF III, CAPC Washington, Property Management, CAPC Construction, Brokerage, CAPC 4th Ave, E-Port 1, E-Port 2, Fund II Invest, Southward Neighborhood, Southward, Tampa #1 and Fund #1 (sole member of these entities is CAPC), 151 MLK, NCC II, NCC III, NCCH, Mortgage Holdings, 545 West Broad, Supportive Housing, ET Library and Shared (sole member of these entities is CLFNJ), CAPC AMG, USA Fund II, 60 South, Remsen, Pledgor and Pledgor II are single-member LLCs treated as a disregarded entity with respect to its sole member, and each member is exempt under Code Section 501(c)(3).

CAPC ASF #1 was a single member LLC owned by CLFNJ in 2017 and was considered a disregarded entity. In 2018, 19.97% interest in CAPC ASF #1 was purchased by an outside organization and is now treated as a partnership.

CAPC SFR was a single member LLC owned by CAPC in 2020 and was considered a disregarded entity. In 2021, 40.00% interest in CAPC SFR was purchased by an outside organization and is now treated as a partnership.

NJCC recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount of benefit that is greater than 50.00% likely to be realized upon settlement. Changes in measurement are reflected in the period in which the change in judgment occurs. NJCC did not recognize the effect of any income tax positions in either 2023 or 2022.

(q) Functional Allocation of Expenses

The cost of providing various programs and other activities has been summarized on a functional basis in the consolidated statements of activities. Costs are allocated between program services, management and general, and fundraising based on an evaluation of the related benefits. Interest expense and provision for loan losses are not included in functional expenses in the consolidated statements of activities but are considered to be program activities. For description of program activities, see note 1 of the consolidated financial statements.

(r) Operating Measure

Nonoperating activity includes changes in noncontrolling interest in subsidiaries, gains or losses on investments, and other nonrecurring items.

(s) Use of Estimates

The preparation of consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates in the consolidated financial statements include valuations of investments, allowance for uncollectible loans receivable, and recognition and measurement of real property held for sale. Actual results could differ from those estimates.

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(t) New Accounting Standard Adopted

The Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2016-02, *Leases (Topic 842)* which is effective for the Organization's fiscal year ended September 30, 2023 (as amended) and is designed to increase transparency and comparability among organizations by recognizing lease assets and lease liabilities on the consolidated statements of financial position and disclosing key information about leasing arrangements. The Organization has adopted this ASU using the modified retrospective transition approach and the effective date method which allowed the Organization to apply the new leases standard at the adoption date of October 1, 2022. As such, the Organization is not required to adjust comparative periods or provide comparative period disclosures. The Organization also elected to use the transition package of practical expedients and short-term lease exemption. The discount rate is based on a risk-free rate using a period comparable with the lease term. The Organization recognized right-of-use assets and lease liabilities of \$5,531,107 and \$5,562,402, respectively, on October 1, 2022.

(u) Future Accounting Standard

In June 2016, the FASB issued ASU No. 2016-13, *Measurement of Credit Losses on Financial Instruments*, that changes the impairment model for most financial assets and certain other instruments. For receivables, loans and other instruments, entities will be required to use a new forward-looking "expected loss" model that generally will result in the earlier recognition of allowance for losses. In addition, an entity will have to disclose significantly more information about allowances, credit quality indicators and past due securities. The new provisions will be applied as a cumulative-effect adjustment to net assets. The Organization will adopt the new standard October 1, 2023. The Organization is currently evaluating the requirements of this guidance and has not yet determined the impact of its adoption on the Organization's consolidated financial position, activities, and cash flows.

(3) Loans Receivable

The Organization, directly or through agreements with other entities, provides credit facilities primarily in the form of loans receivable.

(a) Community Loan Fund

Loans are primarily to nonprofit organizations, although loans are also made to for-profit corporations, partnerships, and individuals for business purposes. Loans are generally for terms of three months to seven years, unless there is specific capital that allows for longer-term lending.

At September 30, 2023, there were no variable rate loans. At September 30, 2023, fixed rate loans of \$107,856,659 had interest rates ranging from 1.00% to 9.50%. Included are loans for the Garden State Relief Fund that are 0.00% for the first 6 months and switch to 3.00% thereafter.

At September 30, 2022, there were no variable rate loans. At September 30, 2022, fixed rate loans of \$93,428,562 had interest rates ranging from 1.00% to 9.50%. Included are loans for the Garden State Relief Fund that are 0.00% for the first 6 months and switch to 3.00% thereafter.

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**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
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At September 30, 2023, there were fifteen (15) loans classified as nonaccrual and 90 days past due with a total balance of \$4,309,860.

At September 30, 2022, there were fourteen (14) loans classified as nonaccrual and 90 days past due with a total balance of \$2,429,133.

On a case-by-case basis, the Organization may agree to modify the contractual terms of a borrower's loan to assist customers who may be experiencing financial difficulty, as well as preserve the Organization's loan position in the loan. If the borrower is experiencing financial difficulties and a concession has been made at the time of such modification, the loan is classified as a TDR loan.

All TDRs are classified as impaired loans, which are individually evaluated for impairment. At September 30, 2023 and 2022, there were twenty-three (23) loans with balances that totaled \$2,939,628 and seventeen (17) loans with balances that totaled \$2,510,153, respectively, that were considered TDR loans.

(b) *Proprietary Managed Assets – NPF*

At September 30, 2023, these loans bear interest at an annual rate of 5.75% to 6.50% and are either unsecured or, if applicable, secured by the assets financed. At September 30, 2023, these loans amounted to \$2,098,879.

At September 30, 2022, these loans bear interest at an annual rate of 5.75% to 7.50% and are either unsecured or, if applicable, secured by the assets financed. At September 30, 2022, these loans amounted to \$2,651,975.

(c) *Camden Power*

At September 30, 2023 and 2022, the outstanding loan has a balance of \$114,432 and \$119,580, respectively, and bears interest at 4.00%. The loan matures on February 1, 2024.

(d) *University Ventures*

University Ventures had a \$500,000 loan receivable from Red Restaurant Ventures, LLC (Red) under a four-year credit facility at 13.50% interest. In May 2011, Red filed for Chapter 11 bankruptcy. University Ventures performed a lien search and noted that they are the only secured party. As part of the bankruptcy proceedings, Red was required to make monthly payments of \$2,000, which Red did sporadically in 2019. After careful consideration, the loan was written off in 2020.

Since 2019, a total of three (3) new loans bearing interest at an annual rate of 6.50% to 7.50% were added for entities unrelated to Red Restaurant Ventures. At September 30, 2023 and 2022, these loans amounted to \$1,261,583 and \$678,505, respectively.

(e) *Lending Partners*

Loans receivable are primarily to nonprofit organizations and for-profit corporations and partnership entities. All loans are collateralized by liens on the assets financed.

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Fixed rate loans are generally for twelve (12) to two hundred sixty-seven months (267). At September 30, 2023 and 2022, fixed rate loans bear interest at 4.50% to 7.00% per annum and amounted to \$22,587,444 and \$10,004,474, respectively.

At September 30, 2023 and 2022, there was one (1) loan classified as 90 days past due, for which the Organization did not accrue interest and was considered a TDR loan. The loan has outstanding balance of \$1,022,973 and \$1,090,601, as of September 30, 2023 and 2022, respectively.

The Organization assesses the risk of loss on its loans receivable internally by credit quality ratings. The Organization utilizes a six-point internal risk rating system. Loans deemed to be acceptable quality are rated one through three (pass), with a rating of one established for loans with minimal risk. Loans that are deemed to be of potential weakness are rated four (watch), and questionable repayment are rated five (substandard). Loans with serious doubt are rated six (doubtful). There were no doubtful receivables at September 30, 2023 or September 30, 2022. The following table includes the amounts of the outstanding loans receivable at September 30, 2023 and 2022, using the Organization's internally assigned credit quality indicators.

	<u>2023</u>	<u>2022</u>
Pass	\$ 115,412,888	95,499,818
Watch	13,124,060	7,147,328
Substandard	<u>5,382,049</u>	<u>4,235,950</u>
Total loans receivable	<u>\$ 133,918,997</u>	<u>106,883,096</u>

(4) Allowance for Uncollectible Loans Receivable

The following table presents the changes in the allowance for uncollectible loans receivable at September 30, 2023 and 2022:

	<u>2023</u>	<u>2022</u>
Opening balance	\$ 5,232,940	5,504,940
Write-offs	(614,261)	(464,970)
Provision for uncollectible loans receivable, net of recoveries	<u>2,782,525</u>	<u>192,970</u>
Ending balance	<u>\$ 7,401,204</u>	<u>5,232,940</u>

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(5) Purchased Credit Impaired Loans Held for Investments

The following table summarizes information for purchased credit impaired loans held for investment at September 30, 2023 and 2022:

	<u>2023</u>	<u>2022</u>
Contractually required payments	\$ 791,543	791,543
Nonaccretable difference	<u>123,457</u>	<u>(13,793)</u>
Cash flows expected to be collected	915,000	777,750
Accretable yield	<u>(800,092)</u>	<u>(662,842)</u>
Initial carrying amount at acquisition	114,908	114,908
Accretion recorded since acquisition	<u>254,908</u>	<u>265,388</u>
Carrying value at September 30	<u>\$ 369,816</u>	<u>380,296</u>

There was no accretion recorded for the years ended September 30, 2023 and 2022.

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(6) Program-Related Investments

Program-related investments at September 30, 2023 and 2022 are as follows:

	<u>2023</u>	<u>2022</u>
NMTC IV:		
NJCC CDE Ocean LLC	\$ 7	693
NJCC CDE Cumberland LLC	2	597
NJCC CDE Passaic LLC	2	500
NJCC CDE Camden LLC	495	494
NJCC CDE Monmouth LLC	(8)	597
NJCC CDE Middlesex LLC	—	674
NJCC CDE Campbell LLC	699	698
NJCC CDE Wilson LLC	773	774
NMTC V:		
NJCC CDE Hamilton LLC	1,038	1,039
NJCC CDE Edison LLC	788	788
NJCC CDE Kilmer LLC	502	501
NJCC CDE Morris LLC	683	680
NJCC CDE Livingston LLC	1,000	1,001
NJCC CDE Eagleton LLC	1,043	1,035
NMTC VI:		
NJCC CDE Barton LLC	197	196
NJCC CDE Stockton LLC	399	399
NJCC CDE Whitman LLC	852	853
NJCC CDE Robeson LLC	520	520
NJCC CDE Parker LLC	1,044	1,045
NJCC CDE Amos LLC	797	797
NMTC VII and VIII:		
NJCC CDE Houston LLC (VII only)	1,041	1,041
NJCC CDE Field LLC (VII only)	795	796
NJCC CDE Peterson LLC (VII and VIII)	1,069	1,070
NJCC CDE Salem LLC (VII and VIII)	889	—
NJCC CDE Grimesfarm LLC (VII and VIII)	1,260	—
NMTC IX:		
NJCC CDE 42 LLC	995	—
NJCC CDE 44 LLC	700	—

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	<u>2023</u>	<u>2022</u>
University Ventures, Inc.:		
Terracycle	\$ 200,000	200,000
Other:		
Lincoln Park-CAPC Urban Renewal, LLC	—	(53)
Community Development Trust, Inc.	500	500
CUMAnet, LLC	—	2,000,000
Tampa and Community Development Funds	—	2,517
CHS-CAPC JV1, LLC	15,000	15,000
NJCC Fund # 5 LLC	—	77,981
306 MLK Blvd Urban Renewal LLC	302,000	302,000
Parramore Asset Stabilization Fund	696,675	564,967
HPN Leverage IV LLC	7,893,234	7,975,454
Allevo Community Capital LLC	200,000	200,000
Valley Revitalization LLC	28,489	28,489
Wood Street Housing Partnership, LP	281,933	282,816
OZ 306 MLK Landlord LLC	3,002,047	2,315,400
306 MLK Master Tenant LLC	—	9,048
NJCC-NYS Community Restoration Fund II LLC	1,450,673	931,740
CAG Members Fund I	1,475,720	1,356,472
HPN Leverage VIII LLC	5,512,879	—
Socially Responsible Certificates of Deposit:		
Self Help Credit Union, 1.70%, 7/2/20	100,134	100,134
Self Help Credit Union, 2.10% 12/23/20	100,000	100,000
	<u>\$ 21,276,866</u>	<u>16,479,253</u>

In 2023, CLFNJ invested \$900 in NJCC CDE Salem LLC, \$1,300 in NJCC CDE Grimesfarm LLC, \$1,000 in NJCC CDE 42 LLC and \$700 in NJCC CDE 44 LLC.

Net gain related to equity investments of \$213,218 and \$549,683 is included in realized gain on investments in the accompanying consolidated statements of activities as of September 30, 2023 and 2022, respectively.

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The table below sets forth overview information about the NMTC IV, V, VI, VII, VIII and IX:

	Managing member(s) ownership stake	Managing member(s) initial investment	Investor member(s) initial investment	Assets at December 31, 2022	Liabilities at December 31, 2022	Net income for December 31, 2022
NMTC IV:						
NJCC CDE Ocean LLC	0.01	700	7,000,000	7,021,211	3,917	86,259
NJCC CDE Cumberland LLC	0.01	600	6,000,000	6,000,600	—	56,766
NJCC CDE Passaic LLC	0.01	500	5,000,000	5,001,636	—	27,998
NJCC CDE Camden LLC	0.01	500	5,000,000	5,043,586	34,000	109,017
NJCC CDE Monmouth LLC	0.01	600	6,000,000	6,028,100	12,500	60,000
NJCC CDE Middlesex LLC	0.01	675	6,750,000	6,767,856	14,313	38,459
NJCC CDE Campbell LLC	0.01	700	7,000,000	7,000,701	—	35,000
NJCC CDE Wilson LLC	0.01	800	8,000,000	8,035,935	3,708	383,056
NMTC V:						
NJCC CDE Hamilton LLC	0.01	1,050	10,500,000	10,521,819	5,395	132,908
NJCC CDE Edison LLC	0.01	800	8,000,000	8,048,912	—	268,661
NJCC CDE Kilmer LLC	0.01	500	5,000,000	5,026,468	16,673	29,017
NJCC CDE Morris LLC	0.01	700	7,000,000	7,095,108	47,444	294,487
NJCC CDE Livingston LLC	0.01	1,000	10,000,000	10,044,535	8,155	54,795
NJCC CDE Eagleton LLC	0.01	1,050	10,500,000	10,512,550	11,500	318,925
NMTC VI:						
NJCC CDE Barton LLC	0.01	200	2,000,000	2,017,069	11,500	52,405
NJCC CDE Stockton LLC	0.01	400	4,000,000	4,011,900	11,500	20,000
NJCC CDE Whitman LLC	0.01	880	8,800,000	8,805,598	4,099	354,511
NJCC CDE Robeson LLC	0.01	520	5,200,000	5,205,619	2,776	27,322
NJCC CDE Parker LLC	0.01	1,050	10,500,000	10,511,650	—	76,164
NJCC CDE Amos LLC	0.01	800	8,000,000	8,012,663	11,500	46,244
NMTC VII and NMTC VIII:						
NJCC CDE Houston LLC (VII only)	0.01	1,050	10,500,000	10,517,050	16,000	103,635
NJCC CDE Field LLC (VII only)	0.01	800	8,000,000	8,009,192	3,444	57,442
NJCC CDE Peterson LLC (VII and VIII)	0.01	1,075	10,750,000	10,751,075	—	68,678
NJCC CDE Salem LLC (VII and VIII)	0.01	900	9,000,000	9,030,025	15,250	24,050
NJCC CDE Grimesfarm LLC (VII and VIII)	0.01	1,300	13,000,000	13,012,800	11,500	15,109
NMTC IX:						
NJCC CDE 42 LLC	0.01	1,000	10,000,000	Not Available	Not Available	Not Available
NJCC CDE 44 LLC	0.01	700	7,000,000	Not Available	Not Available	Not Available

Certain SPEs have been formed but are not yet funded.

Assets, liabilities and net income for NJCC CDE Middlesex LLC, NJCC CDE Hamilton LLC, NJCC CDE Parker LLC, and NJCC CDE Field LLC are at October 31, 2022.

On NJCC CDE Wilson's total members initial investment, \$750,000 have been expended under NMTC V. On NJCC CDE Eagleton's total members initial investment, \$6,750,000 have been expended under NMTC VI. On NJCC CDE Amos' total members initial investment, \$5,250,000 have been expended under NMTC VII. On NJCC CDE Peterson's total members initial investment, \$10,000,000 have been expended under NMTC VIII. On NJCC CDE Salem's total members initial investment, \$1,500,000 have been expended under NMTC VIII. On NJCC CDE Grimesfarm's total members initial investment, \$10,000,000 have been expended under NMTC VIII.

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As of September 30, 2023 and 2022, all of the New Market Tax Credits have been expended for NMTC II, NMTC III, NMTC IV, NMTC V and NMTC VI. As of September 30, 2023, all the New Market Tax Credits have been expended for NMTC VII. As of September 30, 2023, approximately \$23,500,000 and \$33,000,000 were available to be expended on NMTC VIII and NMTC IX, respectively.

(7) Investments and Fair Value Measurements

Fair value is defined as the exchange price that would be received to sell an asset or paid to transfer a liability (an exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction between market participants on the measurement date.

The fair value hierarchy requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The three levels of inputs that may be used to measure fair value are as follows:

- Level 1: Quoted prices in active markets for identical assets or liabilities
- Level 2: Observable inputs other than Level 1 prices such as quoted prices for similar assets or liabilities; quotes prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities
- Level 3: Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the asset or liabilities

Fair value estimates are made at a specific point in time, based on available market information and judgments about the financial asset, including estimates of timing, amount of expected future cash flows, and the credit standing of the issuer. In some cases, the fair value estimates cannot be substantiated by comparison to independent markets. In addition, the disclosed fair value may not be realized in the immediate settlement of the financial asset and do not reflect any premium or discount that could result from offering for sale at one time an entire holding of a particular financial asset. Potential taxes and other expenses that would be incurred in an actual sale or settlement are not reflected in amounts disclosed.

The following is a description of the valuation methodologies used for the Organization's investments measured at fair value and included in the fair value hierarchy table. There have been no changes in the methodologies used for periods presented in these consolidated financial statements.

Certificates of deposit: Valued based on yields currently available on comparable securities of issuers with similar credit rates.

U.S. government and agency obligations: Level 1 securities are valued at the closing price reported on the active market on which the individual securities or bonds are traded at September 30, 2023 and 2022. Level 2 securities are valued at the closing price reported on inactive markets or at the quoted price for a similar security.

Mutual funds and U.S. equity securities: Valued at the closing prices reported on an active market at September 30, 2023 and 2022.

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The following tables represent the Organization's fair value hierarchy for its financial assets measured at fair value on a recurring basis as of September 30, 2023 and 2022:

		2023			
		Level 1	Level 2	Level 3	Total
Investments:					
Certificates of deposit	\$	—	3,304,637	—	3,304,637
U.S. government and agency obligations		9,286,196	—	—	9,286,196
	\$	<u>9,286,196</u>	<u>3,304,637</u>	<u>—</u>	<u>12,590,833</u>
		2022			
		Level 1	Level 2	Level 3	Total
Investments:					
Certificates of deposit	\$	—	4,154,753	—	4,154,753
U.S. government and agency obligations		12,268,357	2,096,221	—	14,364,578
Mutual funds		1,650,456	—	—	1,650,456
U.S. equity securities:					
Consumer discretionary		902,862	—	—	902,862
Consumer staples		229,521	—	—	229,521
Energy		111,017	—	—	111,017
Financial services		805,229	—	—	805,229
Healthcare		1,227,339	—	—	1,227,339
Industrials		993,701	—	—	993,701
Information technology		1,483,152	—	—	1,483,152
Materials		208,613	—	—	208,613
Telecommunications		950,977	—	—	950,977
Utilities		204,299	—	—	204,299
Other		140,748	14,337	—	155,085
	\$	<u>21,176,271</u>	<u>6,265,311</u>	<u>—</u>	<u>27,441,582</u>

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(8) Fixed Assets, Net

Fixed assets at September 30, 2023 and 2022 consist of the following:

	<u>2023</u>	<u>2022</u>
Land	\$ 9,804,298	10,405,808
Computers and equipment	614,768	627,752
Buildings and improvements held for rental purposes	49,319,034	50,903,416
Building and improvements	<u>1,148,178</u>	<u>846,541</u>
	60,886,278	62,783,517
Less accumulated depreciation	<u>7,141,737</u>	<u>6,054,384</u>
Fixed assets, net	<u><u>\$ 53,744,541</u></u>	<u><u>56,729,133</u></u>

Depreciation expense for the years ended September 30, 2023 and 2022 amounted to \$1,645,769 and \$1,284,806, respectively.

(9) Grants

(a) Credit Enhancement Grant

On June 13, 2006, the Organization received a credit enhancement grant from the U.S. Department of Education, which was recognized as donor restricted revenue at that time. The Organization was awarded \$8,150,000 to use as credit enhancement for the financing of current and future charter schools. The project period began on August 10, 2009 and ends on the date on which all of the grant funds and earnings thereon have been expended for eligible grant project purposes or when financing supported by the grant project has been retired, whichever is later. The grant allows the Organization to also use the investment income earned on the award. In July 2016, the Organization received an additional credit enhancement grant from the U.S. Department of Education for \$8,000,000 which was recognized as donor restricted revenue in the 2016 consolidated statement of activities. For the years ended September 30, 2023 and 2022, the net investment return was \$298,454 and \$300,180, respectively. At September 30, 2023 and 2022, \$2,016,545 and \$1,825,800, respectively, has been used to credit enhance loans issued by the Organization to charter schools and \$547,766 and \$315,081, respectively, has been used to credit enhance loans issued by outside organizations. As of September 30, 2023 and 2022, \$14,591,286 and \$15,086,611, respectively, are available for credit enhancements.

(b) Supportive Housing Fund Grant

In 2017, CLFNJ received an \$8,000,000 grant from Goldman Sachs to be used to finance loans to borrowers to acquire and rehabilitate affordable supportive housing units in New Jersey. These funds were combined with a \$7,000,000 loan from an affiliate of the grantor to establish a \$15,000,000 revolving fund that will finance up to 80 units. The grant funds were committed to eligible project

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borrowers by June 21, 2020. In 2023 and 2022, respectively, \$5,596,258 and \$3,777,337 were used to finance loans.

In 2020, the \$7,000,000 loan expired and is no longer being used, therefore there is no timeline for disbursement. New loans are funded 50.00% from the \$8,000,000 grant and 50.00% from CLFNJ's own sources of capital. As of September 30, 2023 and 2022, \$2,403,742 and \$4,222,663, respectively, are available for lending.

(c) *THRIVE South Jersey Initiative Grant*

In 2019 and 2017 respectively, CLFNJ received a \$1,600,000 and \$1,500,000 grant from the Pascal Sykes Foundation to support financing of businesses in eligible areas of Atlantic, Cumberland, Gloucester and Salem counties, as part of CLFNJ's THRIVE South Jersey Initiative. Pascal Sykes Foundation provided two grants totaling \$4,100,000 in 2015 to support community and economic development via the THRIVE South Jersey Initiative. The unexpended portion of all grants totaled \$65,537 and are included in net assets with donor restrictions as of September 30, 2023 and 2022.

(d) *Pascal Sykes Foundation Grant*

In 2020, \$2,900,000 was received from the Pascal Sykes Foundation. The grant is to be used for loans to small businesses and nonprofits located in the South Jersey market area negatively impacted by the COVID-19 pandemic. The grant is allocated to three sectors as follows; \$100,000 to the African American Chamber of Commerce Partnership; \$1,475,000 to THRIVE South Jersey Initiative; and \$1,325,000 to the Garden State Relief Fund in the South Jersey Area. The unexpended portion of the grant totaled \$211,715 and \$533,268 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively. Additionally, in 2021, the organization received \$1,000,000 grant from the foundation to support the ESBI Fund. The grant funded the ESBI Fund with a \$500,000 equity contribution from CLFNJ and another \$500,000 equity contribution from the African American Chamber of Commerce Partnership. The unexpended portion of the grant totaled \$313,541 and \$355,233 at September 30, 2023 and 2022, respectively and are included in net assets with donor restrictions.

(e) *NeighborWorks America Grant*

The Organization is a subrecipient of a grant through NeighborWorks America. NeighborWorks America provided a donor restricted grant (corpus to be maintained in perpetuity) in the amount of \$750,000 during the year ended September 30, 2016, for making affordable loans for housing and capital projects. This amount is permanently restricted although proceeds on capital projects, or interest earned, over and above corpus may be transferred to net assets without donor restrictions furthering the Organization's mission. Additionally, NeighborWorks America may authorize amounts to be transferred to net assets without donor restrictions. In 2020, \$343,000 was authorized to be transferred resulting in no remaining unexpended funds. However, should the Organization become defunct, all remaining grant funds, interest earnings, capital project proceeds, and the loan and capital projects portfolios representing the use of these funds will revert to NeighborWorks America. Additionally, NeighborWorks America provided unrestricted grants totaling \$563,750 and \$584,000 during the years ended September 30, 2023 and 2022, respectively.

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(f) Capital Magnet Fund Award

In 2020, the Organization received \$2,250,000 for the Capital Magnet Fund (CMF) 2019 award from the Community Development Financial Institutions Fund (CDFI). The funds are to be used for the funding and direct expenses towards providing affordable housing rentals for very low-income families in areas of economic distress. The unexpended portion of the grant totaled \$687,500 and \$1,062,500 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively. In 2023, the Organization received another \$4,935,000 for the CMF 2022 award from CDFI. The unexpended portion of the grant totaled \$4,115,424 and \$0 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(g) Financial Assistance Award

The CDFI provided \$565,000 in 2020 for financial assistance for the Partnership to Invest in Transformative Community Health (PITCH). The purpose of the funds is to be used for general lending in different areas of New Jersey. All of the funds were fully expended at September 30, 2020.

In 2021, CDFI provided \$650,000 Base Financial Assistance (Base-FA) and \$500,000 Financial Assistance under the Healthy Food Financing Initiative (HFFI-FA). The purpose of the fund is to support the philanthropic and institutional capital and healthy food financing activities in different areas of New Jersey. All of the funds under Base-FA were fully expended at September 30, 2022 while the HFFI-FA unexpended portion totaled \$129,870 and \$456,203 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(h) East Trenton Collaborative

The grants received for the East Trenton Collaborative (ETC) program are to be used for revitalizing the East Trenton neighborhood of Trenton. In 2020, the Neighborhood Revitalization Tax Credit Project (NRTC) provided \$720,000 to the ETC. The unexpended portion of the grant totaled \$0 and \$64,037 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively. In 2021, the NRTC provided \$1,035,000 grant for the same program. The unexpended portion of the grant totaled \$473,060 and \$781,739 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively. In 2021, the State of New Jersey Department of Community Affairs (DCA) through the Balanced Housing NPP 2018 provided \$612,800 grant to the program. The grant is unexpended and is included in net assets with donor restrictions at September 2023 and 2022. In 2022, Merancas Foundation provided a \$100,000 grant to the program. The grant is unexpended and is included in net assets with donor restrictions at September 2023 and 2022. In 2022, the NRTC provided \$985,000 grant for the same program. The unexpended portion of the grant totaled \$836,277 and \$985,000 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively. In 2023, the NRTC provided \$800,000 grant for the same program. The grant is unexpended and is included in net assets with donor restrictions at September 30, 2023.

(i) Grant from Individual Donor

In 2020, \$510,000 was received from an individual donor. The purpose of the grant is to support CLFNJ's Small Business Emergency Loan Fund. The funding is allocated into four areas; Interest rate buy down; loans ranging from \$10,000 – \$75,000; a loan loss reserve for the Small Business

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Emergency Loan Fund; and \$25,000 for administrative fees for all loans. The unexpended portion of the grant totaled \$5,182 and \$10,000 and are included in net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(j) CDFI Rapid Response Program

In 2021, CDFI Fund provided \$1,826,265 grant to be used for commercial real estate, small business, microenterprise, community facilities, affordable housing and intermediary lending to NPs and CDFIs. The unexpended portion of the grant totaled \$0 and \$620,713 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(k) New Jersey Pandemic Relief Fund Grant

In 2021, the Organization received \$1,000,000 grant from New Jersey Pandemic Relief Fund to fund small businesses in New Jersey, particularly Black Business Enterprise Capital Fund (BBECF) and to provide financial products and technical assistance to eligible small businesses. The unexpended portion of the grant totaled \$83,151 and \$89,334 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(l) Robert Wood Johnson Foundation Grant

In 2021, the Organization received \$2,307,500 grant from Robert Wood Foundation to fund various programs of the organizations. The \$1,000,000 was allocated for modifying nonperforming mortgage loans, \$1,000,000 to capitalize the newly formed BBECF and the \$307,500 to support the exploration and development of the B. The unexpended portion of the grant totaled \$500,605 and \$606,195 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(m) Foreclosure Mitigation Program

In 2021, the DCA through its Mortgage Mitigation and Neighborhood Stabilization Program provided a \$2,900,000 grant for the foreclosure mitigation 2021 and \$3,000,000 for the foreclosure mitigation 2022. The unexpended portion of the grant totaled \$0 and \$1,805,000 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively. In 2023, the DCA provided an additional \$3,000,000 grant for the foreclosure mitigation 2023. The unexpended portion of the grant totaled \$79,735 at September 30, 2023.

(n) East Trenton Public Library Program

In 2021, the State of New Jersey New Jersey Historic Trust provided \$750,000 to the Organization. The grant will be used for the restoration of the East Trenton Public Library. The City of Trenton also contributed a matching grant of \$750,000 towards the total project cost. In 2022, DCA provided \$928,863 for the same program. The unexpended portion of the grant totaled \$1,582,844 and \$2,259,306 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively.

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(o) Wells Fargo Grants

In 2021, Wells Fargo Bank provided a \$2,500,000 grant to the organization. The grant will be used to serve the Black and Brown enterprises and to further capitalize and operationalize the ESBI. The unexpended portion of the grant totaled \$784,424 and \$787,200 and are included in the net assets with donor restrictions at September 30, 2023 and 2022, respectively.

(p) CDFI Equitable Recovery Program

In 2023, CDFI through its Equitable Recovery Program (ERP) provided a \$4,957,678 grant to the organization. The grant will be used to assist Low-or Moderate-Income communities and borrowers, including minorities, that have significant unmet capital or Financial Service's needs. The unexpended portion of the grant totaled \$4,957,678 and is included in the net assets with donor restrictions at September 30, 2023.

(10) Funds Held in Trust, Escrows, and Other

The funds held in trust, escrows, and other funds consist of the following:

	2023	2022
SEED funds	\$ 204,980	198,128
BofA funds	960,759	950,452
TICIC funds	2,267,066	1,221,479
GFI funds	426,538	426,538
Escrows	5,103,589	5,435,228
Other	1,263,963	1,459,145
Conditional program advances:		
Neighborhood enhancement program	1,826,447	3,671,411
Camden Power funds	1,013,403	1,013,403
Neighborhood stabilization program	1,590,349	1,590,349
Loan loss reserves	168,535	171,715
LIFT downpayment assistance program	45,576	157,031
Housing and Community Development	234,524	—
	<u>\$ 15,105,729</u>	<u>16,294,879</u>

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(11) Long-Term Debt

Balances at September 30, 2023 and 2022 are as follows:

	<u>2023</u>	<u>2022</u>
Community Loan Fund:		
Various notes payable (a)	\$ 75,743,908	83,947,040
Credit facility (b)	42,929,838	44,287,771
Equity equivalent investment (c)	15,500,000	15,500,000
Proprietary Managed Assets – notes payable (d)	191,000	191,000
CAPC:		
Credit facility (e)	21,706,288	25,878,475
Equity equivalent investment (f)	1,500,000	1,500,000
Other loans (g)	15,751,632	17,530,623
NMTC related loans (h)	19,460,000	11,700,000
Lending Partners:		
Credit facility (i)	12,197,207	9,415,627
Equity equivalent investment (j)	1,000,000	1,000,000
NCC Mortgage Holdings (k)	652,710	947,716
Total long-term debt	206,632,583	211,898,252
Current portion of long-term debt	38,477,225	35,458,903
Long-term debt, net of current portion	<u>\$ 168,155,358</u>	<u>176,439,349</u>

- (a) Notes payable of the Community Loan Fund division represent loans by approximately 59 individuals, religious organizations, foundations, units of government and financial institutions in principal amounts ranging from \$500 to \$7,500,000. These notes bear interest at rates ranging up to 5.00%, payable at varying maturities of one to ten years through 2041. The notes are unsecured.

These loan agreements are subject to financial covenant clauses that the Organization is required to meet. The Organization did not meet a certain financial covenant under one of its loan agreements; however, on September 30, 2022, the Organization received a waiver of the financial covenant from the lender, which waiver is effective from such date through October 1, 2024. The outstanding balance is presented as a noncurrent liability at September 30, 2023 and 2022.

- (b) Community Loan Fund had a \$5,000,000 credit facility from an insurance company to support its lending activities. On September 28, 2015, NJCC closed on a \$28,000,000 bond program as part of the US Treasury CDFI Bond Guarantee Program that has an outstanding balance of \$24,124,910 at September 30, 2023. These funds will mature on March 15, 2045 with an interest rates ranging from 1.31% to 3.60%. Also, on November 4, 2019, NJCC closed on a \$25,000,000 bond program as part of the US Treasury CDFI Bond Guarantee Program that has an outstanding balance of \$17,029,464 at September 30, 2023. These funds will mature on March 15, 2049 with an interest rates ranging from

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**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
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2.02% to 3.73%. This program is designed to provide CDFIs with long term fixed rate affordable capital they need to spur development in low income and under resourced communities. The Supportive Housing Fund Grant which has an interest rate of 5.50% has a balance of \$1,775,464 at September 30, 2023.

These loan agreements are subject to financial covenant clauses that the Organization is required to meet. The Organization did not meet a certain financial covenant under the loan agreements with Opportunity Finance Network (OFN) under the US Treasury CDFI Bond Guarantee Program; however, on September 30, 2022, OFN agreed to permanently waive such financial covenant effective from such date. The outstanding balance is presented as a noncurrent liability at September 30, 2022 and 2023.

- (c) The Community Loan Fund division has an aggregate of \$15,500,000 of equity equivalent investments at September 30, 2023. \$500,000 of the equity equivalent investments will mature on June 2024 with a rate of 1.25%, \$5,000,000 will mature on August 2025 with a rate of 3.50%, \$2,000,000 will mature on June 2026 with a rate of 2.50%, \$1,500,000 will mature on June 2029 with a rate of 3.00%, \$3,000,000 will mature on June 2030 with a rate of 2.00% and \$2,000,000 will mature on May 2030 with a rate of 0.00% until May 2024. A \$3,000,000 equity equivalent investment with a rate of 3.50% that matures on December 2029 was allocated between CLFNJ and CAPC with each entity receiving \$1,500,000. The equity equivalent investments are subordinated and junior in right of payment to all other obligations of CLFNJ.
- (d) Notes payable of the NPF division represent recoverable grants from financial institutions. These consist of \$41,000 in noninterest bearing notes and \$150,000 in interest bearing notes with a rate of 2.00%. They have stated maturities from October 31, 2023 to fiscal year 2024. The notes are unsecured.
- (e) CAPC has an aggregate of \$21,706,288 in credit facilities, with interest rate ranging from 3.75% to 9.00% to support its activities. Maturities vary from October 2023 to January 2051. These notes are secured by properties purchased by CAPC.
- (f) A \$3,000,000 equity equivalent investment with a rate of 3.50% that matures on December 2029 was allocated between CLFNJ and CAPC with each entity receiving \$1,500,000.
- (g) CAPC has various other loans from financial institutions and individuals bearing interest rates up to 8.00%. These loans have maturity dates ranging from December 2023 to November 2039 and are secured by properties financed.
- (h) In September 2018 CAPC participated in a New Markets Tax Credit Program to provide funds for investment in qualified low-income investments. This program required the creation of HPN Leverage IV, LLC (HPN). As a result, CAPC borrowed \$7,847,300 from a Community Development Financial Institution to finance a portion of its investment in HPN. Principal payments in the amount of \$1,356,884 were made in 2019. This financing matured August 2, 2020 with a floating rate of interest equal to the 30-day LIBOR rate plus a spread of five hundred twenty five basis points. Additionally, CAPC secured a 20-year loan in the amount of \$11,700,000 payable to a Community Development Entity. This debt requires interest only payments until September 2025 at a rate of 0.70%. The loan

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matures in September 2038 and is secured by substantially all the assets acquired by the Organization from the project loan proceeds. In April 2023 CAPC participated in a New Markets Tax Credit Program to provide funds for investment in qualified low-income investments. This program required the creation of HPN Leverage VIII, LLC (HPN). As a result, CAPC borrowed \$3,570,000 from a Community Development Financial Institution to finance a portion of its investment in HPN. Principal payments in the amount of \$650,000 were made in 2023. This financing matures April 2026 with a fixed rate of 6.50%. Additionally, CAPC secured a 20-year loan in the amount of \$7,760,000 payable to a Community Development Entity. This debt requires interest only payments until May 2030 at a rate of 0.71%. The loan matures in April 2043 and is secured by substantially all the assets acquired by the Organization from the project loan proceeds.

- (i) Lending Partners has an aggregate \$16,500,000 of fixed rate credit facility which expired on April 30, 2018. The rates range from 3.25% to 8.33%. Individual notes underlying the credit facility mature at various times through April 2028 and the amount outstanding at September 30, 2023 is \$12,197,207.
- (j) Lending Partners has an aggregate \$1,000,000 of equity equivalent investments. The equity equivalent investments, evidenced by notes, have a stated maturity of ten years; however, upon the stated maturity the term shall automatically be extended for a period of one additional year, and thereafter each such extended maturity date shall automatically be extended for one additional year, unless the investor exercises its right to cancel the automatic maturity extension provisions of the investment. The equity equivalent investments are subordinate and junior in right of payment to all other obligations of Lending Partners. The equity equivalent investments are unsecured and will mature on June 30, 2025 with a rate of 3.00%.
- (k) NCC Mortgage Holdings has \$652,710 in loans outstanding at September 30, 2023, with installment payments due on April 2024 with interest rate ranging from 5.42% to 5.75%.

Aggregate maturities of the Organization's long-term debt payments during the next five (5) years ending September 30 and thereafter are as follows:

	Community loan fund	CAPC	Lending partners	Mortgage holdings	Total
2024	\$ 31,011,491	4,766,063	2,046,961	652,710	38,477,225
2025	20,859,071	1,002,237	2,373,429	—	24,234,737
2026	18,615,603	3,717,461	2,648,025	—	24,981,089
2027	6,173,215	3,076,388	117,825	—	9,367,428
2028	1,625,954	787,405	6,010,967	—	8,424,326
Thereafter	56,079,412	45,068,366	—	—	101,147,778
	<u>\$ 134,364,746</u>	<u>58,417,920</u>	<u>13,197,207</u>	<u>652,710</u>	<u>206,632,583</u>

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(12) Net Assets with Donor Restrictions

Net Assets with Donor Restrictions are available for the following purposes at September 30, 2023 and 2022:

	<u>2023</u>	<u>2022</u>
Credit enhancements from USDOE grant	\$ 17,155,597	17,227,492
Camden county businesses involved in energy efficiency improvements	500,000	500,000
Loan loss reserves	550,000	550,000
South Jersey economic initiative	63,537	373,103
Goldman Sachs supportive housing initiative	2,403,742	4,222,663
East Trenton Collaborative	2,822,138	2,543,577
Garden State Relief Fund – THRIVE	245,205	263,702
Capital Magnet Fund	4,802,924	5,997,500
Equitable Recovery Program	4,957,678	—
Foreclosure Mitigation	79,735	1,805,000
Equitable Small Business Initiative	1,471,721	1,627,961
Rapid Response Program	—	620,713
East Trenton Public Library restoration	1,582,844	2,259,306
Modification of nonperforming loans and reintroduction of REO properties	210,000	210,000
Downpayment assistance program	455,380	—
Healthy Foods Financing Initiative	129,870	456,203
Downtown Newark Revitalization	141,359	148,210
Other	122,191	326,172
	<u>\$ 37,693,921</u>	<u>39,131,602</u>

(13) Financial Assets and Liquidity Resources

The Organization monitors the availability of resources required to meet its operating needs and other contractual commitments, while striving to maximize the investment of its available funds. For purposes of analyzing resources available to meet general expenditures over a 12-month period, the Organization considers all expenditures related to its ongoing mission-related activities, as well as the conduct of services undertaken to support those activities, to be general expenditures.

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As of September 30, 2023 and 2022, the following financial assets could be made readily available within one year of the consolidated statement of financial position date to meet general expenditures:

	<u>2023</u>	<u>2022</u>
Cash and cash equivalents	\$ 35,561,821	52,499,393
Investments	12,590,833	14,302,650
Payments on loans receivable	<u>24,911,306</u>	<u>23,818,886</u>
Total financial assets and liquidity resources available to meet cash needs for general expenditures within one year	<u>\$ 73,063,960</u>	<u>90,620,929</u>

In addition to the financial assets noted above, the Organization operates with a balanced budget and anticipates collecting sufficient revenues and loan payments to cover general expenditures not covered by net assets with donor restrictions. Refer to the statement of cash flows which identifies the sources and uses of the Organization's cash.

(14) Functional Expenses

The costs of providing program services and support services of the Organization have been summarized on a functional basis in the consolidated statement of activities. The following chart shows the relationship between the functional and natural classifications of expenses. Certain operating costs have been allocated among the functional categories as disclosed in note 2(q).

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Expenses by natural classification for the year ended September 30, 2023 consist of the following:

	Program services				Supporting services			Total expenses
	Community Loan Fund of New Jersey, Inc.	Community Lending Partners of New Jersey, Inc.	Community Asset Preservation Corporation	Total	Management and general	Fundraising	Total	
Salaries and benefits	\$ 3,932,255	142,981	3,780,401	7,855,637	1,046,481	546,146	1,592,627	9,448,264
Depreciation and amortization	247,484	—	1,385,508	1,632,992	75,866	34,373	110,239	1,743,231
Insurance	136,430	—	52,256	188,686	34,635	18,949	53,584	242,270
Occupancy	606,135	—	93,671	699,806	152,480	84,185	236,665	936,471
Office supplies	490,606	(375)	86,984	577,215	123,464	68,140	191,604	768,819
Professional development	72,847	—	26,665	99,512	18,481	10,118	28,599	128,111
Professional fees	2,602,321	14,955	1,117,124	3,734,400	212,598	115,216	327,814	4,062,214
Publicity	37,119	—	2,485	39,604	6,589	14,512	21,101	60,705
Loan servicing and commitment fees	47,831	—	230,034	277,865	12,841	6,643	19,484	297,349
Grants expense	2,185,723	—	40,000	2,225,723	—	—	—	2,225,723
Rental expenses	40,624	—	4,714,524	4,755,148	57,777	5,642	63,419	4,818,567
Property held for sale holding costs	272,026	—	—	272,026	—	—	—	272,026
Travel-site visits	20,139	—	31,487	51,626	—	—	—	51,626
Other	98,185	—	63,656	161,841	21,501	11,656	33,157	194,998
Total operating expenses	10,789,725	157,561	11,624,795	22,572,081	1,762,713	915,580	2,678,293	25,250,374
Interest expense	4,210,775	762,522	(311,009)	4,662,288	—	—	—	4,662,288
Provision for loan losses	2,280,015	502,510	—	2,782,525	—	—	—	2,782,525
Total other expenses	6,490,790	1,265,032	(311,009)	7,444,813	—	—	—	7,444,813
Total expenses	\$ 17,280,515	1,422,593	11,313,786	30,016,894	1,762,713	915,580	2,678,293	32,695,187

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Expenses by natural classification for the year ended September 30, 2022 consist of the following:

	Program services				Supporting services			Total expenses
	Community Loan Fund of New Jersey, Inc.	Community Lending Partners of New Jersey, Inc.	Community Asset Preservation Corporation	Total	Management and general	Fundraising	Total	
Salaries and benefits	\$ 3,864,145	167,685	2,650,936	6,682,766	1,129,596	740,489	1,870,085	8,552,851
Depreciation and amortization	32,820	—	1,205,626	1,238,446	87,350	45,293	132,643	1,371,089
Insurance	105,688	—	46,681	152,369	28,383	19,402	47,785	200,154
Occupancy	231,534	—	65,145	296,679	59,733	41,280	101,013	397,692
Office supplies	268,401	1,778	76,726	346,905	69,638	47,893	117,531	464,436
Professional development	31,614	—	15,211	46,825	8,573	5,845	14,418	61,243
Professional fees	1,992,041	17,235	1,302,799	3,312,075	184,472	121,532	306,004	3,618,079
Publicity	31,065	—	3,578	34,643	5,698	13,356	19,054	53,697
Loan servicing and commitment fees	69,788	—	360,459	430,247	23,503	15,192	38,695	468,942
Grants expense	736,524	—	25,000	761,524	—	—	—	761,524
Rental expenses	57,708	—	4,932,595	4,990,303	339,043	172,366	511,409	5,501,712
Property held for sale holding costs	129,537	—	—	129,537	—	—	—	129,537
Travel-site visits	15,239	—	27,952	43,191	—	—	—	43,191
Other	55,271	47	30,606	85,924	14,029	9,654	23,683	109,607
Total operating expenses	7,621,375	186,745	10,743,314	18,551,434	1,950,018	1,232,302	3,182,320	21,733,754
Interest expense	3,569,576	679,848	(407,955)	3,841,469	—	—	—	3,841,469
Provision for loan losses	784,605	(591,635)	—	192,970	—	—	—	192,970
Total other expenses	4,354,181	88,213	(407,955)	4,034,439	—	—	—	4,034,439
Total expenses	\$ 11,975,556	274,958	10,335,359	22,585,873	1,950,018	1,232,302	3,182,320	25,768,193

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(15) Leases

The Organization is committed to minimum annual rent payments under a long-term non-cancellable operating leases for office space through fiscal year 2033. Operating leases with lease terms greater than one year are reported as operating lease right-of-use assets and operating lease liabilities in the consolidated statement of financial position.

The table below presents a maturity analysis of operating lease liabilities and a reconciliation of the total amount of such liabilities in the consolidated statement of financial position as of September 30, 2023:

Year ending September 30:		
2024	\$	697,207
2025		680,167
2026		674,295
2027		687,167
2028		697,388
Thereafter		<u>3,324,353</u>
Total		6,760,577
Less: discount for present value		<u>(1,113,802)</u>
Operating lease liability	\$	<u><u>5,646,775</u></u>

Other information:

Cash paid for amounts included in measurement of lease liabilities:

Operating cash flows for operating leases	\$	277,502
Weighted-average remaining lease term		9.4 years
Weighted-average discount rate		3.84 %

Total rental expense under noncancelable operating leases for fiscal year 2023 was \$695,575.

(16) Commitments and Contingencies

(a) Contingent Liabilities for Charter Fund

At September 30, 2023 and 2022, the Organization has \$547,766 and \$315,081, respectively, of contingent guarantees outstanding for the benefit of three (3) charter school transactions, respectively, funded by unrelated lenders. The guarantees will expire at various dates through 2046.

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(b) Commitments

In the normal course of business, the Organization has various outstanding commitments that are not reflected in the accompanying consolidated financial statements. At September 30, 2023 and 2022, the principal commitments of the Organization are as follows:

	<u>2023</u>	<u>2022</u>
Financings committed but not yet closed:		
Community Loan Fund	\$ 26,626,587	26,538,996
	<u>\$ 26,626,587</u>	<u>26,538,996</u>
Financings closed but not yet funded:		
Community Loan Fund	\$ 37,542,882	24,965,119
Neighborhood Prosperity Fund	1,000,000	450,597
Lending Partners	892,865	700,000
	<u>\$ 39,435,747</u>	<u>26,115,716</u>

(17) Concentrations

Financial instruments that potentially subject the Organization to credit risk include loans receivable amounting to \$133,918,997 and \$106,883,096 at September 30, 2023 and 2022, respectively. As of September 30, 2023 and 2022, \$88,568,779 and \$54,582,760, respectively, of the Organization's loans were to nonprofits, representing approximately 58.82% and 51.00%, respectively, of the loans receivable reported in the consolidated statements of financial position. One hundred percent of the Organization's outstanding loans receivable are to entities located in the State of New Jersey.

The Organization maintains cash balances at several financial institutions. Accounts at each institution are insured by the Federal Deposit Insurance Corporation up to \$250,000. In 2023 and 2022, the Organization's cash balances exceeded the insured amounts. Management monitors the financial strength of the financial institutions.

(18) Related Party Transactions

As of September 30, 2023, and 2022, the Organization had notes payable to various employees or current members of the board of directors totaling \$51,210 and \$74,570, respectively. Interest of \$1,028 and \$1,615 was paid to these individuals. Contributions were made to the Organization by various employees or current members of the board of directors in the amount of and \$2,452 and \$5,800 during the years ended September 30, 2023, and 2022, respectively.

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(19) Employee Benefit Plans

The Organization sponsors a qualified 401(k) profit sharing plan for all eligible employees. The plan allows eligible employees to elect to defer a portion of their annual compensation and have those amounts contributed to the plan. Among other things, the plan provides for (a) discretionary matching by the Organization of a percentage of employees' contributions; (b) discretionary employer contributions of a

percentage of salary; (c) normal retirement age of 65; and (d) vesting in Organization contributions after specified years of service, as defined in the plan. The Organization's contributions to the plan reflected in the accompanying consolidated statements of activities for the years ended September 30, 2023 and 2022 was approximately \$145,000 and \$173,000, respectively.

(20) COVID-19

On March 11, 2020, the World Health Organization declared the COVID-19 outbreak a public health emergency. In response, various governmental agencies mandated stringent regulations and guidelines to help organizations promote the health and safety of their communities. In connection with this event and restrictions by state and local governments, the Organization successfully transitioned most operations and related staff to remote working environments. The Organization focused its efforts on providing support to the families and organizations it currently serves by providing \$363,800 in loan payment deferrals to 62 borrowers and approximately \$402,000 in rent deferrals to 67 families. Additionally, renovations of several properties were delayed, resulting in loss of rental income.

The Organization also established the Garden State Relief Fund (GSRF) to provide immediate, low cost loans with deferred payment options to small businesses experiencing decreased income as a result of COVID-19 restrictions. As of September 30, 2022, loans totaling \$2,076,014 were disbursed through GSRF. No new loans were issued in 2023.

The United States Congress passed the Coronavirus Aid, Relief, and Economic Security (CARES) Act on March 27, 2020. Recognizing that the Organization's response to COVID-19 would negatively impact income available for operating expenses, the Organization applied for and received a \$1,391,332 loan under the Paycheck Protection Program (PPP). This loan is included in long-term debt in the Organization's consolidated statement of financial position as of September 30, 2020. The Organization applied for forgiveness on the PPP loan in August 2021. On May 16, 2022, the U.S. Small Business Administration granted the Organization full forgiveness on its PPP loan.

(21) Subsequent Events

The Organization has evaluated events subsequent to September 30, 2023 and through the date of January 26, 2024 which is the date the consolidated financial statements were available to be issued. The Organization has determined that there are no subsequent events which require disclosure in the consolidated financial statements.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC. AND
SUBSIDIARIES**

Schedule of Expenditures of Federal Awards
Year ended September 30, 2023

<u>Grantor/pass-through grantor/program title</u>	<u>Federal assistance listing number</u>	<u>Pass-through entity grant number</u>	<u>Current year expenditures</u>
U.S. Department of Housing and Urban Development (HUD):			
Passed through County of Union assignment from Interfaith Council for the Homeless of Union County:			
HOME Investments Partnerships Program	14.239	M-02-DC-34-0222; M-13-DC-34-0222	\$ 772,788
HOME Investments Partnerships Program	14.239	M-04-DC-34-0222; M-05-DC-34-0222	225,945
HOME Investments Partnerships Program	14.239	M-05-DC-34-0222; M-08-DC-34-0222; M-09-DC-34-0222	534,779
HOME Investments Partnerships Program	14.239	M-07-DC-34-0222	350,000
HOME Investments Partnerships Program	14.239	M-09-DC-34-0222	227,903
HOME Investments Partnerships Program	14.239	M-10-DC-34-0222	97,000
HOME Investments Partnerships Program	14.239	M-12-DC-34-0222	229,846
HOME Investments Partnerships Program	14.239	M-99-DC-34-0222	216,950
HOME Investments Partnerships Program	14.239	98-2950-00	<u>285,200</u>
Total passed through County of Union assignment from Interfaith Council for the Homeless of Union County			2,940,411
Passed through City of Elizabeth:			
HOME Investment Partnerships Program	14.239	RHP-L48	400,000
Passed through County of Hudson:			
HOME Investment Partnerships Program	14.239	2248-2017	<u>131,226</u>
Total Home Investment Partnerships Program (14.239) (note 3)			<u>3,471,637</u>
Passed through Start Easy Eagle Development (SEED):			
Continuum of Care Program	14.267	NJ0220B040900	108,885
Passed through New Jersey Department of Community Affairs:			
Hurricane Sandy Community Development Block Grant – Disaster Recovery Grants:			
Neighborhood Enhancement Program	14.269	2015-02325-0287-00	29,686
Neighborhood Enhancement Program	14.269	2015-02325-0289-00	<u>185,639</u>
Total Hurricane Sandy Community Development Block Grant – Disaster Recovery Grants (14.269)			<u>215,325</u>
Total HUD			<u>3,795,847</u>
U.S. Department of Treasury:			
FY 2019 Capital Magnet Fund	21.011		351,102
FY 2021 Capital Magnet Fund	21.011		<u>819,576</u>
Total Capital Magnet Fund (21.011)			1,170,678
Passed through Opportunity Finance Network:			
Community Development Financial Institutions Bond Guarantee Program	21.014	15-2-BG-012323	23,878,002
Community Development Financial Institutions Bond Guarantee Program	21.014	19-BGA-00003	<u>18,108,564</u>
Total Community Development Financial Institutions Bond Guarantee Program (21.014) (note 3)			41,986,566
Community Development Financial Institutions Program	21.020		45,130
Community Development Financial Institutions Rapid Response Program	21.024		920,074
NeighborWorks America (P.L. 115-31)	21.UNK		<u>563,750</u>
Total U.S. Department of Treasury			<u>44,686,198</u>
U.S. Department of Energy:			
Passed through City of Camden:			
Energy Efficiency and Conservation Block Grant Program – ARRA (note 3)	81.128	1-11-111	<u>119,581</u>
Total U.S. Department of Energy			<u>119,581</u>
U.S. Department of Education:			
Credit Enhancement for Charter School Facilities	84.354A		9,014,072
Credit Enhancement for Charter School Facilities	84.354A		<u>8,141,525</u>
Total Credit Enhancement for Charter School Facilities (84.354A) (notes 2 and 3)			<u>17,155,597</u>
Total U.S. Department of Education			<u>17,155,597</u>
Total expenditures of Federal awards			\$ <u>65,757,223</u>

See accompanying notes to schedules of expenditures of Federal and State of New Jersey awards.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC. AND
SUBSIDIARIES**

Schedule of Expenditures of State of New Jersey Awards

Year ended September 30, 2023

Grantor/program title	Grant number	Pass-through grant number	Award amount	Grant period	Pass-through to Subrecipients	Current year expenditures
New Jersey Economic Development Authority:						
South Jersey Economic Initiative (note 3)	P40172	—	\$ 1,000,000	September 2015 – December 2025	\$ —	993,612
CDFI Emergency Assistance Grant Program (note 3)	PROD-00188102	—	1,500,000	March 2021 – June 2041	—	1,500,000
Total New Jersey Economic Development Authority			2,500,000		—	2,493,612
New Jersey Housing and Mortgage Finance Agency:						
Homes for Success IV (note 3)	HMFA 2539/ SNHTF #211	—	729,254	March 2010 – May 2040	—	729,254
Mountain Central Homes (note 3)	HMFA 02643/ SNHTF #257	—	1,159,172	February 2011 – February 2041	—	1,159,172
Cranford Benjamin Homes (note 3)	HMFA 02931/ SSNHTF #37	—	664,433	July 2014 – July 2044	—	664,433
			2,552,859		—	2,552,859
New Jersey Historic Trust:						
East Trenton Public Library	2019.2066	—	750,000	January 2020 – January 2025	—	191,025
			750,000		—	191,025
New Jersey Department of Community Affairs:						
Passed through Catholic Charities, Diocese of Metuchen:						
Neighborhood Revitalization Tax Credit Program – Unity Square Neighborhood	2017-02240-0288-00	2017-02240-0288-00	240,000	October 2020 – March 2023	—	140,000
Balanced Housing Neighborhood Preservation Program 2018	2018-02352-0311-00	—	612,800	April 2023 – May 2023	—	324,276
Neighborhood Revitalization Tax Credit Project – East Trenton Collaborative:						
Neighborhood Revitalization Tax Credit Project 20	2020-02240-0266-00	—	720,000	March 2020 – April 2023	64,037	64,037
Neighborhood Revitalization Tax Credit Project 21	2021-02240-0180-00	—	985,000	March 2021 – September 2023	234,665	299,047
Neighborhood Revitalization Tax Credit Project 22	2022-02240-0267-00	—	985,000	March 2022 – July 2023	221,408	340,545
Total Neighborhood Revitalization Tax Credit Project			2,690,000		520,110	703,629
Passed through City of Trenton:						
Advance Agreement for Phase One of the East Trenton						
Library Community Center Rehabilitation Project (match portion)	Resolution No. 21-569	Not provided	750,000	None	—	448,562
Community Capital Needs 2022	2022-05231-0437-00	—	928,863	June 2022 – May 2024	—	14,718
Foreclosure Mitigation:						
Foreclosure Mitigation 2022	2022-05219-0028-00	—	3,000,000	July 2021 – June 2023	—	1,523,168
Foreclosure Mitigation 2023	2023-05219-0074-00	—	3,000,000	July 2022 – June 2023	594,000	2,965,761
Total Foreclosure Mitigation			6,000,000		594,000	4,488,929
Total New Jersey Department of Community Affairs			\$ 11,221,663		\$ 1,114,110	6,120,114
Total expenditures of State of New Jersey awards						\$ 11,357,610

See accompanying notes to schedules of expenditures of Federal and State of New Jersey awards.

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Notes to Schedules of Expenditures of Federal and State of New Jersey Awards

Year ended September 30, 2023

(1) Basis of Presentation

The accompanying schedules of expenditures of Federal and State of New Jersey awards include the Federal and State of New Jersey grant activity of the Community Loan Fund of New Jersey, Inc. and Subsidiaries (the Organization) and is presented on the accrual basis. The information in these schedules is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Federal Uniform Guidance) and New Jersey Office of Management and Budget Circular 15-08, *Single Audit Policy for Recipients of Federal Grants, State Grants and State Aid*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the Organization's 2023 consolidated financial statements.

(2) Credit Enhancement for Charter School Facilities

The U.S. Department of Education (U.S. DOE) has awarded total grants of \$16,150,000 to the Organization to credit enhance the loans made by financial institutions to stimulate the financing of charter schools. The grant funds are to remain invested in separate grant reserve accounts in accordance with the requirements of the grant. Such financial assistance is considered federal awards expended based on the amounts in the reserve accounts at the beginning of the grantee fiscal year; plus any funds drawn down plus investment earnings received in the grantee's fiscal year to add to the reserve account; less any payments resulting from the credit enhancements provided. The reserve account balance as of September 30, 2023 is \$17,155,597, consisting of the grant balance of \$16,150,000 and accumulated net investment earnings of \$1,005,597.

As of September 30, 2023, \$2,564,311 has been used to credit enhance loans to charter schools and outside organizations and \$14,591,286 is available to use as credit enhancements in future years.

(3) Loan and Loan Guarantee Programs

The Organization is responsible for certain aspects of the following loan and loan guarantee programs. The Organization had the following loan and loan guarantee balances outstanding at September 30, 2023.

Federal:

Program title	Federal assistance listing number	Amount outstanding
HOME Investment Partnerships Program	14.239	\$ 3,471,637
Community Development Financial Institutions Bond Guarantee Program	21.014	40,304,858
Energy Efficiency and Conservation Block Grant Program – ARRA	81.128	119,581
Credit Enhancement for Charter School Facilities	84.354A	17,155,597
		<u>\$ 61,051,673</u>

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Notes to Schedules of Expenditures of Federal and State of New Jersey Awards

Year ended September 30, 2023

State of New Jersey:

Program title	Grant number	Amount outstanding
South Jersey Economic Initiative	P40712	\$ 993,612
CDFI Emergency Assistance Grant Program	PROD-00188102	1,000,000
Homes for Success IV	HMFA 2539/SNHTF #211	729,254
Mountain Central Homes	HMFA 02643/SNHTF #257	1,159,172
Cranford Benjamin Homes	HMFA 02931/SNHTF #37	664,433
		<u>\$ 4,546,471</u>

The amounts on the schedule of expenditures of Federal awards and schedule of expenditures of State of New Jersey awards represent the outstanding loan balance as of October 1, 2022 and new loans issued during fiscal year 2023.

(4) Indirect Cost Rate

During the year ended September 30, 2023, the Organization did not elect to use the 10% de minimis indirect cost rate. The Organization elected to use its negotiated indirect cost rate.

(5) Subrecipients

The Organization did not pass any Federal funds to subrecipients. State of New Jersey funds were passed to subrecipients as included in the schedule of expenditures of State of New Jersey awards.



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II-1

**Independent Auditors' Report on Internal Control Over Financial Reporting and
on Compliance and Other Matters Based on an Audit of Financial Statements
Performed in Accordance With *Government Auditing Standards***

The Board of Directors
Community Loan Fund of New Jersey, Inc. and Subsidiaries:

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the consolidated financial statements of Community Loan Fund of New Jersey, Inc. and Subsidiaries (the Organization), which comprise the consolidated statement of financial position as of September 30, 2023, and the related consolidated statements of activities and cash flows for the year ended, and the related notes to the consolidated financial statements, and have issued our report thereon dated January 26, 2024. That report contained an unmodified opinion on those consolidated financial statements with an emphasis of matter paragraph regarding the Organization's adoption of Accounting Standards Update No. 2016-02, *Leases (Topic 842)*.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the consolidated financial statements, we considered the Organization's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the consolidated financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, we do not express an opinion on the effectiveness of the Organization's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the Organization's consolidated financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Organization's consolidated financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

**Purpose of This Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Organization's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

KPMG LLP

Short Hills, New Jersey
January 26, 2024



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II-3

**Independent Auditors' Report on Compliance for Each Major Federal and State of New Jersey Program;
Report on Internal Control Over Compliance; and Report on Schedule of Expenditures of Federal
Awards Required by the Uniform Guidance and Schedule of Expenditures of State of New Jersey
Awards Required by New Jersey OMB Circular 15-08**

The Board of Directors
Community Loan Fund of New Jersey, Inc. and Subsidiaries:

Report on Compliance for Each Major Federal and State of New Jersey Program

Qualified and Unmodified Opinions on Each Major Federal and State of New Jersey Program

We have audited Community Loan Fund of New Jersey, Inc. and Subsidiaries' (the Organization) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* and the *New Jersey OMB State Grant Compliance Supplement* that could have a direct and material effect on each of the Organization's major Federal and State of New Jersey programs for the year ended September 30, 2023. The Organization's major Federal and State of New Jersey programs are identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs.

Qualified Opinion on State of New Jersey Program Foreclosure Mitigation

In our opinion, except for the noncompliance described in the Basis for Qualified and Unmodified Opinions section of our report, the Organization complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on the State of New Jersey Program Foreclosure Mitigation for the year ended September 30, 2023.

Unmodified Opinion on Each Major Federal and Other State of New Jersey Programs

In our opinion, the Organization complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on its major federal program and other State of New Jersey program identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs for the year ended September 30, 2023.

Basis for Qualified and Unmodified Opinions

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance); and the audit requirements of New Jersey OMB Circular 15-08, *Single Audit Policy for Recipients of Federal Grants, State Grants and State Aid* (New Jersey OMB Circular 15-08). Our responsibilities under those standards, Uniform Guidance and the New Jersey OMB Circular 15-08 are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified and unmodified opinions on compliance for each major Federal and State of New Jersey program. Our audit does not provide a legal determination of the Organization's compliance with the compliance requirements referred to above.

Matters Giving Rise to Qualified Opinion on State of New Jersey Program Foreclosure Mitigation

As described in the accompanying schedule of findings and questioned costs, the Organization did not comply with requirements regarding allowability and reporting for the State of New Jersey Program Foreclosure Mitigation as described in finding number 2023-002. Compliance with such requirements is necessary, in our opinion, for the Organization to comply with the requirements applicable to that program.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the Organization's Federal and State of New Jersey programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Organization's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, Uniform Guidance, and the New Jersey OMB Circular 15-08 will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Organization's compliance with the requirements of each major Federal or State of New Jersey program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, Uniform Guidance, and the New Jersey OMB Circular 15-08, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Organization's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Organization's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance and New Jersey OMB Circular 15-08, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed an instance of noncompliance which is required to be reported in accordance with the Uniform Guidance and which is described in the accompanying schedule of findings and questioned costs as item 2023-001 (Federal program). Our opinion on the major federal program is not modified with respect to this matter.

Government Auditing Standards requires the auditor to perform limited procedures on the Organization's responses to the noncompliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. The Organization is also responsible for preparing a corrective action plan to address each audit finding included in our auditors' report. The Organization's responses and corrective action plan were not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the responses or the corrective action plan.

Report on Internal Control Over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we did identify certain deficiencies in internal control over compliance that we consider to be material weaknesses and significant deficiencies.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal or State of New Jersey program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal or State of New Jersey program will not be prevented, or detected and corrected, on a timely basis. We consider the deficiency in internal control over compliance described in the accompanying schedule of findings and questioned costs as item 2023-002 (State of New Jersey program) to be a material weakness.

A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal or State of New Jersey program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiency in internal control over compliance described in the accompanying schedule of findings and questioned costs as item 2023-001 (Federal program) to be a significant deficiency.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on the Organization's responses to the internal control over compliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The Organization is also responsible for preparing a corrective action plan to address each audit finding included in our auditors' report. The Organization's responses and corrective action plan were not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the responses or the corrective action plan.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance and New Jersey OMB Circular 15-08. Accordingly, this report is not suitable for any other purpose.



Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance and Report on Schedule of Expenditures of State of New Jersey Awards Required by New Jersey OMB Circular 15-08

We have audited the consolidated financial statements of the Organization as of and for the years ended September 30, 2023 and 2022, and have issued our report thereon dated January 26, 2024, which contained an unmodified opinion on those consolidated financial statements with an emphasis of matter paragraph regarding the Organization's adoption of Accounting Standards Update No. 2016-02, *Leases (Topic 842)*. Our audit was performed for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying schedule of expenditures of federal awards for the year ended September 30, 2023 is presented for purposes of additional analysis as required by the Uniform Guidance and the accompanying schedule of expenditures of State of New Jersey awards for the year ended September 30, 2023 is presented for the purposes of additional analysis as required by New Jersey OMB Circular 15-08 and are not a required part of the 2023 consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the 2023 consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the 2023 consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the 2023 consolidated financial statements or to the 2023 consolidated financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the schedule of expenditures of federal awards and the schedule of expenditures of State of New Jersey are fairly stated in all material respects in relation to the 2023 consolidated financial statements as a whole.

KPMG LLP

Short Hills, New Jersey
June 24, 2024

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Schedule of Findings and Questioned Costs

Year ended September 30, 2023

(1) Summary of Auditors' Results

- (a) Type of report issued on whether the consolidated financial statements were prepared in accordance with generally accepted accounting principles: **Unmodified**
- (b) Internal control deficiencies over financial reporting disclosed by the audit of the consolidated financial statements:
 - Material weaknesses: **No**
 - Significant deficiencies: **None Reported**
- (c) Noncompliance material to the consolidated financial statements: **No**
- (d) Internal control deficiencies over major Federal and State of New Jersey programs disclosed by the audit:
 - Material weaknesses: **Yes (State of New Jersey 2023-002)**
 - Significant deficiencies: **Yes (Federal 2023-001)**
- (e) Type of report issued on compliance for major Federal and State of New Jersey programs: **Unmodified** except for State of New Jersey Program Foreclosure Mitigation which is Qualified
- (f) Audit findings that are required to be reported in accordance with 2 CFR 200.516(a) or New Jersey OMB Circular 15-08: **Yes**
- (g) Major programs:
 - Federal:
 - U.S. Department of Treasury, Community Development Financial Institutions Bond Guarantee Program (ALN 21.014)
 - State of New Jersey:
 - New Jersey Housing and Mortgage Finance Agency, Mountain Central Homes (Grant Number HMFA 02643/ SNHTF #257)
 - New Jersey Department of Community Affairs, Foreclosure Mitigation (Grant Numbers 2023-05219-0074-00 and 2022-05219-0028-00)

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Schedule of Findings and Questioned Costs

Year ended September 30, 2023

- (h) The dollar threshold used to distinguish between Type A and Type B Federal and State of New Jersey programs: **\$750,000**.
- (i) The Organization qualified as a low risk auditee for Federal and State of New Jersey awards for the year ended September 30, 2023.

(2) Findings Relating to the Consolidated Financial Statements Reported in Accordance with Government Auditing Standards

None

**(3) Findings and Questioned Costs Relating to Federal and State of New Jersey Awards
2023-001 Procurement – Suspension and Debarment**

U.S. Department of Treasury

Community Development Financial Institutions Bond Guarantee Program (ALN 21.014)

Statistically Valid Sample: No, and it was not intended to be.

Prior Year Finding: Not a repeat finding.

Finding Type: Significant deficiency and noncompliance

Criteria

Prior to entering into subawards and contracts with award funds, recipients must verify that such contractors and subrecipients are not suspended, debarred, or otherwise excluded pursuant to 31 CFR section 19.300.

Additionally, 2 CFR 200.303 (a) states that non-federal entities must establish and maintain effective internal control over federal awards that provide reasonable assurance that the non-federal entity is managing the federal award in compliance with federal statutes, regulations, and the terms and conditions of the federal award.

Condition and Context

During our testwork over suspension and debarment, we noted the following as of the year ended September 30, 2023, for 1 of 10 items selected for testwork, we found no evidence that a suspension and debarment independent status search of SAM.gov was performed. However, the entity was able to obtain certification from the recipient through the signed loan agreement that the entity was registered in SAM.gov and in good standing.

Cause

The Organization did not perform an independent status search of the recipient to ensure that it was not suspended or debarred.

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Schedule of Findings and Questioned Costs

Year ended September 30, 2023

Effect

The funds could be paid to an entity that has been suspended or debarred and costs paid to the entity would be unallowable.

Questioned Costs

Cannot be determined.

Recommendation

We recommend that the Organization strengthen its process to ensure that all recipients have independent status search whether they are suspended or debarred prior to entering into a loan agreement.

Views of Responsible Officials

A process and checklist will be put in place to ensure the independent status search is performed on recipients when a payment is made. The process and checklist will include a verification by someone other than the person preparing the request.

2023-002 Allowability and Reporting

New Jersey Department of Community Affairs

Foreclosure Mitigation – Grant Number 2023-05219-0074-00

Statistically Valid Sample: No, and it was not intended to be.

Prior Year Finding: Not a repeat finding.

Finding Type: Material Weakness and material noncompliance.

Criteria

Funds must be expended only for allowable expenditures. In addition, per the grant agreement, a Fiscal Monitoring Report comparing the Recipient's actual expenditures of the project with the approved Budget included in this Grant/Loan Agreement shall be submitted with each request for payment, except for advance funding, if any.

Condition and Context

During our testwork over allowability and reporting, we noted expenditures in the amount of \$143,885 were claimed and reported in the 2022 and 2023 fiscal monitoring reports.

Cause

The Organization did not properly review the expenditure details prior to submission to the Agency and reported the same costs in both years.

(Continued)

**COMMUNITY LOAN FUND OF NEW JERSEY, INC.
AND SUBSIDIARIES**

Schedule of Findings and Questioned Costs

Year ended September 30, 2023

Effect

The expenditures were reported twice.

Questioned Costs

\$143,885

Recommendation

We recommend that the Organization review its existing policies and procedures related to allowability and reporting and ensure that only allowable expenditures are claimed and to the correct grant award.

Views of Responsible Officials

A process will be established whereby a person in the Finance area, Assistant Controller or above, will review the fiscal monitoring reports for completeness and accuracy. Subsequent to the audit, the organization submitted a revised report which was accepted by the grantor agency.



**Corrective Action Plan
Year Ended September 30, 2023**

Finding Related to Federal Awards

2023-001 Procurement – Suspension and Debarment

Federal Agency: U.S. Department of Treasury

Program Titles and Assistance Listing Numbers (ALN): Community Development Financial Institutions
Bond Guarantee Program - ALN 21.014

Federal Grant Numbers: 19-BGA-00003

Contact Person: Varun Agnihotri, Manager Director, Portfolio Management, 732-640-2061

Corrective Action: A process and checklist will be put in place to ensure the independent status search is performed on recipients when a payment is made. The process and checklist will include a verification by someone other than the person preparing the request.

Anticipated Completion Date: September 30, 2024



**Corrective Action Plan
Year Ended September 30, 2023**

Finding Related to State of New Jersey Awards

2023-002 Allowability and Reporting

State Agency: New Jersey Department of Community Affairs

Program Titles and Grant Number: Foreclosure Mitigation – 2023-05219-0074-00

Contact Person: Ryan Johnson, Managing Director, Real Estate, 732-640-2061

Corrective Action: A process will be established whereby a person in the Finance area, Assistant Controller or above, will review the fiscal monitoring reports for completeness and accuracy.

Anticipated Completion Date: September 30, 2024